Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Revenue Requirements Panel

Case 23-G-0226

Date: **September 22, 2023**

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Rebuttal Testimony of the Revenue Requirements Panel (KEDLI)

I. Introduction

Q. Please introduce the members of the Revenue Requirements Panel.

A. The Panel consists of James M. Molloy, Paula Leaverton, Mark W. Stiner, John E. O'Shaughnessy, and Sam Dunton.

Q. Is this the same Panel that previously submitted testimony in this proceeding?

A. Yes. The defined terms in the Panel's direct and corrections and updates testimonies have the same definitions here.

II. Purpose of Testimony

Q. What is the purpose of your rebuttal testimony?

A. The Panel responds to various adjustments proposed by Staff and intervenors in their direct testimonies dated September 1, 2023. In particular, the Panel addresses the following subjects: (i) proposed revenue adjustments; (ii) proposed O&M adjustments; (iii) proposed adjustments to taxes other than income taxes; (iv) federal and state income tax adjustments; and (v) rate base adjustments and proposed changes to depreciation.

Q. Does the Company respond to each of Staff and the intervenors' proposed adjustments and recommendations?

A. No. In this testimony, as well as the rebuttal testimony of the other Company panels and witnesses, the Company is only responding to certain issues. Where the Company accepts an adjustment or agrees with an issue, such acceptance or agreement is explicitly acknowledged. The Company's silence on a particular adjustment or recommendation

should not be construed as acceptance or waiver of a particular issue or as creating precedent for any future proceeding. The Company relies on its direct and corrections and updates testimonies as support and justification for those items not specifically addressed in its rebuttal testimony.

Q. How has the Panel organized its rebuttal testimony?

A. The rebuttal testimony addresses proposed adjustments following the general order in which the adjustments are presented in the Staff Revenue Requirements Panel's ("SRRP") Exhibit __ (SRRP-2), Schedule 7.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel and that, in all cases, refer to KEDLI:

- Exhibit __ (RRP-1R) Summary Revenue Requirements
- Exhibit __ (RRP-2R) O&M Expenses – Labor (Schedule 1), Injuries and Damages (Schedule 2), Rate Case Expense (Schedule 3)
- Exhibit __ (RRP-3R) Earnings Report/Earnings Capitalization
- Exhibit __ (RRP-4R) Relevant Portions of Company Information Request ("IR") Responses

Q. In rebuttal, the Panel references various Information Request ("IR") responses. Where can those responses be found?

A. The IR responses referenced by the Panel have been compiled in Exhibit __ (RRP-4R) except for those responses included as exhibits to Staff's or another party's direct testimony. Because of the size of some of the responses, the Company included only relevant pages and attachments.

III. Overall Revenue Requirement

Q. Is the Company proposing any changes to the revenue requirement in this filing?

A. Yes. The Company's corrections and updates filing reflected a revenue requirement increase of $272.0 million. Based on the Company's review of the direct testimony filed by Staff and intervenors, as well as discovery submitted since the time of the corrections and updates filing, the Company has accepted several adjustments and reflected certain updates to the revenue requirement. Exhibit __ (RRP-1R) sets forth the Company's position on each of the adjustments proposed by Staff. As explained in the rebuttal testimony of the Rate Design Panel ("RDP"), the revenue requirements shown in Exhibit __ (RRP-1R) reflect the removal of Net Utility Plant ("NUP") and Demand Capacity Surcharge Mechanism ("DCSM") revenues consistent with the SRRP's presentation. This update results in a presentation change to the Company's incremental revenue requirement, but does not impact the Company's total revenue requirements.

Q. What is the updated Rate Year revenue requirement?

A. The updated revenue requirement increase is $314.3 million. This update reflects the removal of the NUP and DCSM surcharge revenues, downward adjustments to O&M expense and taxes, and slight increases to rate base and the rate of return, as discussed below.

IV. Operating Revenues Adjustments

Q. Please summarize Staff's proposed adjustments to Operating Revenues.

A. Staff proposed four adjustments to KEDLI's Operating Revenues, which are reflected in Exhibit __ (SRRP-2), Schedule 7. The Company's response to these adjustments is discussed in the rebuttal testimonies of the RDP and the Gas Load Forecasting Panel ("GLFP").

V. O&M Expense Adjustments

Q. Please summarize Staff's proposed adjustments to O&M expense.

A. Staff's proposed adjustments to O&M expense are shown in Exhibit __ (SRRP-2), Schedules 2 and 7.

A. Consultants

Q. Please describe the SRRP's adjustments to Consultants expense.

A. The SRRP proposes (at 13-16) to remove general inflation from the Company's forecast of consultant costs. The SRRP stated that, "[w]hile it is commonplace for utilities to forecast various [O&M] expenses by general inflation," it disagrees with the inclusion of

general inflation for KEDLI's Consultants expense because the Company's consultant expenses have trended downward in the last three years. This resulted in a downward adjustment of $0.663 million to KEDLI's consultant expense.

Q. Does the Company agree with Staff's proposed adjustment?

A. No. The Company expects Consultants expense to increase in the Rate Year. The three-year historic period that Staff is using to forecast Consultants expense for the Rate Year is not a reliable indicator of Rate Year, as those years were impacted by the COVID pandemic. As stated in the SRRP's testimony, utilities typically are allowed to adjust various O&M expenses by general inflation and there is no reason to deviate from this practice in this rate case. In proposing this adjustment, Staff is proposing to arbitrarily pick and choose where to apply general inflation adjustments. The Commission has explicitly rejected such selective application when the State's utilities argued in the past for significantly greater than inflation adjustments for items such as the cost of health insurance.

Q. Did the Company make any adjustments to Consultants expense?

A. Yes. In preparing its response to IR No. NRDC-36, included in Exhibit __ (RRP-1R), the Company discovered it mistakenly included costs paid to Guidehouse for the development of the CLCPA Study required by the Joint Proposal in the 2019 KEDLI and KEDNY Rate Cases. The Company has corrected this error, as shown in the revenue requirement reflected in Exhibit __ (RRP-1R), Schedule 7.

B. Hardware

Q. Please describe the SRRP's adjustments to Hardware expense.

A. The SRRP proposes (at 16-19) to disallow $0.298 million in expenses incurred from IBM Corp. for platform/infrastructure as a service for the Company's Maximo production and product support. The SRRP argues that these costs are non-recurring expense because the Company did not incur any charges from IBM from 2018 to 2021 or year-to-date in 2023.

Q. Does the Company agree with Staff's proposed adjustment?

A. No, as stated in the Company's response to IRs Nos. DPS-785 and DPS-786, included in Exhibit __ (SRRP-3), the Company anticipates the IBM costs will continue to occur in the Rate Year as the costs are part of a Software as a Service ("SaaS") (Infrastructure/Platform) contractual arrangement that will be renewed once the current contract expires the following year.

Q. Does the Panel have other concerns with Staff's proposed adjustment?

A. Yes. Staff's view of what constitutes a recurring expense is too narrowly focused. The costs paid to IBM are merely one item within the broader category of Hardware expense that is needed to ensure the Company's information technology ("IT") infrastructure is up-to-date and able to keep pace with evolving customer and stakeholder needs. As shown in the Company's response to IR No. DPS-429, included in Exhibit __ (RRP-4R), the Company's has experienced significant increases in Hardware expense year-over-year for the five-year period from 2018 through the Historic Test Year. The Company must perform this work each year so that its systems remain secure and capable of performing

the functions needed to provide safe and reliable service to customers. Such work would be expected of any major company with an IT portfolio as large as the Company's – especially given the potential benefits that could accrue to customers from this work. Staff's removal of costs incurred from IBM inappropriately isolates a single line item in a large IT portfolio, and ignores the overall IT work being performed each year by the Company.

C. Software

Q. Please describe the SRRP's adjustments to Software expense.

A. The SRRP recommends (at 19-23) adjusting the Company's Rate Year forecast for expenses incurred from Microsoft Corporation to reflect a five-year average of costs from Microsoft, reducing the Company's forecast by $0.311 million. The SRRP recommends this adjustment for two reasons: (i) the amounts incurred from Microsoft have varied significantly in recent years; and (ii) the transition from an out of the box Microsoft product to a subscription-based product is complete, and the Company is no longer incurring costs related to this transition cost.

Q. Does the Company agree with Staff's proposed adjustment?

A. No, software costs are undertaken for several reasons, including to address legal or regulatory requirements, maintain IT system reliability, upgrade or replace aging systems, address technologies that are out of vendor or version support, or provide service enhancements. Specific to Microsoft vendor charges incurred, although the Company completed a base level transition to Office 365 ("O365") and will no longer incur

transition-related expenses, the Company still believes that the current costs are reflective of future spending. The O365 transition costs in question will subsequently be replaced with Phase 2 O365 enablement costs to improve collaboration, productivity, and data security. The scope of work in Phase 2 will include, but is not limited to:

- Ensuring O365 is current by deploying Microsoft upgrades;
- Furthering unstructured data governance, access, and data control to enable employees to securely access business data wherever they work from any device while helping to prevent unauthorized access;
- Implementing Advanced Information Protection to restrict access to sensitive information;
- Deploying Microsoft Cyberthreat protection upgrades to protect against ransomware and other cyberthreats;
- Modernizing legacy features (classic sites/Infopath);
- AI Content Management Services; and
- Microsoft Graph enablement and script conversion.

Further, similar to Hardware expenses discussed above, Staff construes recurring Software expenses too narrowly. The Company manages a large IT portfolio that requires continual updates and investments to meet the needs of customers and other stakeholders. In fact, as shown in the Company's response to IR No. DPS-357, included in Exhibit __ (RRP-4R), the Company's software costs have risen significantly year-over-year from 2018 through the Historic Test Year due to the volume of IT work being undertaken by the Company. This work is needed to keep the Company's systems up to date and allow the Company to continue to provide safe and reliable service to customers. In removing the costs incurred

from Microsoft, Staff cherry-picks a single line item and ignores the overall IT work being performed by the Company. Therefore, although this specific item may not recur, the Company will continue to incur similar Software expenses every year.

Q. Does the Panel have other concerns with the SRRP's proposed adjustments to Hardware and Software expense?

A. Yes. Other than Staff's view of what constitutes a recurring expense is too narrowly focused, the Company also has a concern with both the Hardware and Software adjustments as the Historic Test Year amounts for Hardware and Software are already embedded within the Other Initiatives IT Exhibit ___ (RRP-3CU), Schedule 39. Specifically, the Company forecasts incremental IT OPEX/RTB by conducting a bottoms up forecast and then comparing that forecast to the costs in the Historic Test Year (adjusted for inflation), with the difference reflected as incremental Rate Year IT OPEX/RTB. As a result, if the SRRP's adjustment were adopted, the difference between the Historic Test Year IT OPEX/RTB costs and the bottoms up forecast would increase, resulting in the need to increase the incremental Rate Year IT OPEX/RTB forecast in Exhibit ___ (RRP-3CU), Schedule 39 by the same amount of the SRRP's adjustment. This is another reason to reject the SRRP's adjustment.

D. Service Company Rents

Q. Please describe the Staff IT Panel's ("SITP") adjustments to Service Company Rent expense.

A. The SITP makes two adjustments to the Company's forecast Service Company Rent expense. First, the SITP recommends a downward adjustment of $1.807 million to Service Company Rents to reflect the rate of return ("ROR") recommended by Staff. Second, the SITP recommends a downward adjustment of $4.292 million to Service Company Rents to reflect Staff's recommended adjustments to the IT projects proposed by the Company.

Q. Does the Company agree with Staff's proposed adjustment?

A. No. The Company disagrees with the SITP's adjustment related to the Company's ROR for the reasons discussed in the rebuttal testimonies of the Capital Structure Panel and Company witness Joshua C. Nowak. The Company also disagrees with the SITP's adjustment to reflect the Staff's adjustments to the Company's proposed IT projects for the reasons discussed in the rebuttal testimony of the IT&D Panel.

E. Labor

Q. Please describe the SRRP's adjustments to total labor expense.

A. The SRRP made two adjustments to the Company's forecast labor expense. First, the SRRP (at 24-31) reduced the Company's labor expense by 8.49 percent to account for, what Staff claims, is the difference between the Company's actual headcount and the headcount included in rates authorized in the 2016 and 2019 KEDNY and KEDLI Rate Cases. This results in a reduction to labor expense of $3.390 million for KEDLI. Second,

the SRRP (at 39-40) removed the Company's 0.5 percent wage increase related to career path progressions, resulting in a downward adjustment of $0.251 million.

Q. Please explain the SRRP's adjustment to staffing levels.

A. The SRRP compared the staffing levels underlying the approved labor expense in the 2016 and 2019 KEDNY and KEDLI Rate Cases to the levels at the end of the historic test years in the subsequent rate case filings. The SRRP calculated the headcount difference in each case to arrive at an understaffing percentage. The SRRP applied the average percentage differential between the two cases of 8.49 percent to KEDLI's labor expense in this case as a proxy to capture what it claims is the Company's understaffing levels. The adjustment is specific to FTEs who are employed by KEDLI and does not include Service Company employees who may charge their time to KEDLI.

Q. Does the Company agree with the SRRP's proposal?

A. No. The Company fully supported the need for the incremental FTEs included in this rate filing. The Company provided testimony and exhibits describing the work the FTEs will perform, the specific Commission objectives with which the work aligns, where the FTEs sit on the Company's organizational charts, and the expected hiring dates for the FTEs, among other things. In proposing the adjustment, the SRRP made no showing to demonstrate why the positions were not needed. In fact, for the most part, the other Staff witnesses support the Company's proposed incremental FTEs. Instead, the SRRP makes an arbitrary adjustment citing staffing levels in past rate cases.

But prior staffing levels are irrelevant to the hiring needs the Company is facing in the current case. The types of programs and priorities change year over year, as do societal conditions such as the pandemic and the economic market. For instance, actual inflation was much higher than the level set in rates in the 2019 KEDNY and KEDLI Rate Cases but the SRRP is not proposing to make an upwards adjustment to account for the difference. The SRRP's adjustment would not only deny the Company full funding for the FTEs supported by the other Staff witnesses, but also would negate a portion of the headcount on payroll at the end of the Historic Test Year. This is completely unreasonable. There is simply no basis to assume there will be open positions in the Rate Year.

Q. Are there reasons other than those cited by the SRRP that account for differences in staffing levels between the time of the last rate cases and the end of the subsequent historic test years?

A. Yes. The SRRP looked at one side of the coin by focusing on operating company labor charges and ignoring labor that is charged to KEDNY and KEDLI from the Service Company. Specifically, the Service Company employs staff in centralized functions who allocate their time to operating companies based on the work performed. Approximately 58 percent of Rate Year labor at KEDLI is forecast to be provided by Service Company employees. As such, Service Company labor cannot be ignored in any staffing analysis.

To that end, the level of Service Company staffing increased significantly between the 2016 and 2019 KEDNY and KEDLI Rate Cases, and further increased in this case. As a result, more work is being performed by Service Company employees in support of KEDLI

and, therefore, more Service Company labor costs are being allocated to KEDLI than were reflected in the prior rate allowances.

Another reason why there will generally be a disconnect between the FTEs forecast in a prior rate case and current staffing levels is due to productivity and other savings reflected in rates. The 2016 and 2019 KEDNY and KEDLI Rate Cases reflected productivity adjustments ranging from 1.0 percent to 2.0 percent. One of the ways to achieve productivity savings is through changes in headcount due to efficiencies that are subsequently embedded in the historic test year in the following rate filing. The SRRP's position ignores this reality. In effect, its proposed adjustment amounts to a double count of the productivity adjustments and other savings that are subsequently embedded in the Historic Test Year in this case.

Exhibit ___ (RRP-2R), Schedule 1 is an analysis performed by the Company comparing staffing levels in the 2016 and 2019 KEDNY and KEDLI Rate Cases and the subsequent historic test years with the addition of Service Company labor. The result of the analysis shows that staffing on average is 1.1 percent lower for KEDLI than the amount approved in rates in the 2019 KEDNY and KEDLI Rate Cases.

Q. Does the Company have any final comments regarding the SRRP's staffing adjustment?

A. Yes. The Company submits that its methodology to calculate labor expense, which uses as a base the number of actual employees on payroll as of December 31, 2022 (the end of

the Historic Test Year), adjusted for known changes, is the more accurate method to use to set rates. The Company's methodology specifically accounts for vacancies/understaffing that existed as of the end of the Historic Test Year, ensuring a fair and reasonable forecast of labor.

Q. Does the Company agree with the SRRP's proposed removal of wage increases related to career path progressions?

A. No, the Company does not agree for several reasons. First, the 0.5 percent increase for career path progressions ensures that the Company's compensation will continue to remain competitive with the median level of its peers. The proposed 0.5 percent career path progression increase, taken alone or with the overall 4.0 percent increase to management wages, would not cause the Company's management compensation to exceed the median compensation of the peer group, much less fall outside the 10 percent allowable range from the median compensation for the peer group.

Second, the Company proactively approaches compensation programs that are market competitive and reasonable to attract and retain skilled employees. The Company, as an employer, remains focused on attracting and retaining qualified talent despite the current challenges in the labor market. Without the ability to provide for compensation increases for promotions and career path progression for employees that move into more experienced senior levels, it would be hard to attract, retain and motivate employees. It is in the best interest of the Company, its customers and other stakeholders to allow the Company's

compensation to remain competitive through the proposed career path progression increases.

Third, retroactively removing the 0.5 percent wage increase implemented on July 1, 2023, including wage increases already paid by the Company to its employees, would adjust a known and measurable change reflected in the Company's filing. The Company has already paid this increase as it was determined to be a prudent cost by the Company.

Finally, the Company uses data from several sources besides World at Work, which have predicted the promotional increases to be in a range between 0.8 percent and 2.1 percent for promotional increases in 2023. The Company uses market data from several sources to evaluate all elements of its compensation program, including promotional increases. This market data projects that promotional increases will be between 0.8 percent and 2.1 percent for promotional increases in 2023; therefore, so the 0.5 percent spent by the Company is well below the market projections. The 2022-2023 World at Work Salary Budget Survey found that the mean promotional increase in 2022 was 2.1 percent and the median increase was 1.0 percent. The World at Work survey also found that 96 percent of organizations estimated that spending on promotional increases in 2023 would be similar to or greater than 2022 spending. The Mercer Compensation Survey projects that the median promotional increase budget in the United States will be 1.0 percent in 2023 and that the median increase will be 1.3 percent. Mercer also projected that the median and mean 2023 promotional increase budgets in the energy industry will be 1.0 percent and 1.1 percent, respectively. Aon/Radford's 2022 Salary Increase and Turnover Study found that the 2022

mean promotional increase was 0.9 percent for all industries and 0.7 percent for the energy industry, and projected that the mean promotional increase for 2023 would be 0.9 percent for all industries and 0.8 percent for the energy industry. Finally, the 2022-2023 Payscale Salary Budget Survey found that average promotional increases in the United States were 1.7 percent in 2022 and are expected to be 1.8 percent in 2023. The market data evaluated by the Company shows that promotional increases for 2023 are expected to be between 0.8 percent and 2.1 percent. This demonstrates that the Company's 0.5 percent career progression increase is reasonable, as it is below the actual 2022 and expected 2023 promotional increases in the labor market.

Q. Did the Company make any other adjustments to labor expense in its rebuttal filing?

A. Yes, as discussed in the Company's response to IR No. WE ACT-091, included as Exhibit 59 to WE ACT witness Jessel's testimony, a journal entry booked during the Historic Test Year for US GAAP purposes that reclassified below-the-line labor expense was inadvertently included in the Company's revenue requirement. The Historic Test Year is used as the means to forecast Rate Year allocations (*e.g.*, expense/capital/other, overtime, miscellaneous pay). The Company has removed the impact of this journal entry in its rebuttal filing, which reduces KEDLI labor expense in the Rate Year by $0.108 million. The adjustment is reflected in Exhibit __ (RRP-1R), Schedule 7.

Q. Do the adjustments proposed by Staff or made by the Company impact any other areas of the filing?

A. Yes, both of Staff's proposed adjustments as well as the Company's adjustment impact productivity expense and payroll taxes, as flowthrough adjustments from labor expense. Additionally, changing labor expense impacts the burden rates for incremental FTEs. The impact of the Company's adjustment is reflected in Exhibit __ (RRP-1R), Schedule 2.

F. Energy Efficiency

Q. Did Staff propose any changes to the Company's revenue requirement in the outer years?

A. Yes. Staff proposed that the Company update the budgets included in the revenue requirement for the Calendar Year 2026 through 2030 period to align with the provisional budgets in accordance with the Commission's July 20, 2023, Order Directing Energy Efficiency And Building Electrification Proposals, in Case 18-M-0084.

Q. Does the Company agree with Staff's proposed adjustment?

A. Yes.

Q. Did Staff propose any changes to the KEDLI HEAT program in the Company's revenue requirement after calendar year 2025?

A. Yes. In accordance with the Commission's July 20, 2023, Order Directing Energy Efficiency And Building Electrification Proposals, in Case 18-M-0084, the SEP (at 25-26) proposed that the Company remove any budgets associated with KEDLI HEAT after

Calendar Year 2025 assigned NYSERDA sole responsibility for implementing statewide LMI programs for the one to four family home segment beginning in Calendar Year 2026. As such, KEDLI's HEAT program should end on December 31, 2025.

Q. Does the Company agree with the proposed change?

A. Yes.

G. <u>Injuries and Damages</u>

Q. Do the Company's revenue requirements include any updates to Injuries and Damages?

A. Yes. The Company inadvertently omitted inflation actuals for the first quarter of 2023 in forecasting expense for Injuries and Damages. The correct forecast, including quarter one 2023 inflation, is set forth in Exhibit __ (RRP-2R), Schedule 2.

H. <u>Savings</u>

Q. Please describe the SRRP's adjustments to Savings.

A. The SRRP adjusts (at 46-51) the Company's proposed savings to remove the costs to achieve savings related to the Evolution Program, resulting in a reduction to O&M expense of $0.999 million. In the response to IR No. DPS-870, the Company reflected an update to the costs to achieve of $0.114 million. This update has been made here in rebuttal and results in total costs to achieve of $1.113 million.

Staff states that recovery of costs to achieve should be disallowed for three reasons: (i) the Commission did not authorize deferral of costs to achieve, and the Company did not request authority to defer these costs; (ii) the Company is seeking recovery of costs to achieve incurred during the current rate plan, but do not propose to provide customers with the savings experienced during that time; and (iii) the costs are on-time costs and will not recur during the Rate Year.

Q. Does the Company agree with Staff's proposed adjustment?

A. No. The costs to achieve were incurred to deliver the forecast savings included in the case. It is therefore unreasonable to disallow those costs without also removing the savings. If it is truly the SRRP's position that the costs to achieve reflected in the Rate Year should be disallowed, then the Evolution Program savings delivered as a result of those costs should be removed. Indeed, this result would be completely consistent with positions taken by Staff in previous rate proceedings that the costs of new initiatives should not be reflected in rates if the savings are not included. Specifically in the 2010 Niagara Mohawk rate case, Staff testified:

> Q. Please explain why you recommend, as an alternative, removing both the savings and the costs for these initiatives from the rate year forecast.
>
> A. . . .. [I]f the rate year cost estimates are removed, the expected associated savings should not be reflected. **It is not reasonable to exclude costs and include expected savings, or vice versa.**

See Case 10-E-0050, Evidentiary Transcript dated September 14, 2010, Tr. 2852, lines 13-16; Tr. 2854, lines 3-7 (DMM #299) (emphasis added).

The Company's revenue requirements reflect the savings at the same level that was incurred in the Historic Test Year with inflation added. As such, customers will receive the benefit of the savings achieved prior to the Rate Year going forward. The Company is unaware of any Commission precedent disallowing costs to achieve because they were incurred on a one-time basis to enable a utility to deliver savings over a multi-year period. In fact, such a position would be illogical and serve as a disincentive for future savings efforts.

I. Productivity

Q. Does the Company agree with Staff's adjustment to productivity?

A. The Company agrees that productivity should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

J. Rate Case Expense

Q. Did the Company update the Rate Case expense total?

A. In a July 5, 2023 letter, the Administrative Law Judges directed the Company to issue a notice regarding the Rate Case Public Statement Hearing. This resulted in the additional rate case expense of $0.020 million for KEDLI and when amortized over the four years of the Rate Plan, has a $0.005 million impact to the Rate Year. Please see Exhibit __ (RRP-2R), Schedule 3 for details.

K. Uncollectibles

Q. Does the SRRP recommend any adjustments to Uncollectible expense?

A. Yes, the SRRP recommends (at 57) adjusting the Company's Uncollectible expense to reflect Staff's revenue forecast.

Q. Does the Company agree with this adjustment?

A. The Company agrees that Uncollectible expense should be set based on the revenue forecast adopted in this proceeding. However, for the reasons discussed above and in the rebuttal testimonies of the RDP and GLFP, the Companies do not agree with Staff's proposed revenue forecast.

L. Economic Development

Q. Did Staff update the Economic Development forecast to reflect the change made in the Company's corrections and updates filing?

A. In the Staff Consumer Services Panel ("SCSP") testimony (at 98), Staff refers to and does not take issue with the annual economic development program funding levels of $1.722 million per year proposed in the Company's direct testimony. However, the Company's corrections and updates testimony includes a proposed adjustment of those annual rate allowances to $1.160 million to correctly reflect the Companies' deferred economic development costs. The Company's corrections and updates amount should be used to calculate the Company's rate allowance for economic development costs.

M. Other Initiatives: Information Technology

Q. Please describe Staff's adjustments to the Company's Other Initiatives for IT.

A. Staff proposes two adjustments to the Company's IT programs: (i) correction of IT operating expense forecast per IR No. DPS-669; and (ii) adjusting IT operating expense and run the business costs to reflect Staff's IT&D capital forecast.

Q. Does the Company agree with these adjustments?

A. Partially. The Company agrees with Staff's adjustment to reflect a correction in the Company's operating expense forecast, per the Company's response to IR No. DPS-669, set forth in Exhibit __ (RRP-4R). The Company disagrees with Staff's adjustment to reduce IT operating expense and run the business costs for the reasons discussed in the rebuttal testimony of the IT&D Panel.

N. Other Initiatives: Other Programs

Q. What adjustments does Staff recommend for the Company's Other Programs?

A. Staff recommends removing the following programs proposed by the Company: (i) the Weatherization Safety Program; (ii) the Disadvantaged Community Outreach Model; (iii) the Language Access Plan Pilot; (iv) the Digital Building Replica Pilot; (v) the LMI Outreach and Education Program; and (vi) the Prepaid/Credit/Debit Card No-Fee Model.

Q. Does the Company agree with Staff's recommendation to remove these programs?

A. No, as discussed in the rebuttal testimony of the Customer Panel, the Company disagrees with Staff's proposal to remove these programs.

O. Other Initiatives: Full Time Equivalents ("FTEs")

Q. What adjustments does Staff recommend for the Company's FTEs?

A. Staff recommends removing various FTEs related to programs supported by the Customer Panel, the Gas Safety Panel and the Gas Infrastructure and Operations Panel ("GIOP").

Q. Does the Company agree with Staff's recommendation to remove these FTEs?

A. No, as discussed in the rebuttal testimonies of the three aforementioned panels, the Company disagrees with Staff's proposal to remove these FTEs.

P. Other Initiatives: Gas Infrastructure and Operations/Gas Safety

Q. What adjustments does Staff recommend for the Company's Gas Infrastructure and Operations ("GIOP") and Gas Safety programs?

A. Staff proposes to remove the following programs: () AMI Network (SPP at 70-71; SPSP at 62); (ii) ACI Residential Methane Detectors ("RMD") (SPP at 70-71; SPSP at 62); and (iii) the Tools and Equipment program (SGIOP at 68-70). Staff also recommends (SPSP at 83) removing the Company's proposed funding for Damage Prevention Enhancements and shifting that funding to the Connected RMD program proposed by Staff.

Q. Does the Company agree with Staff's proposed adjustments?

A. No, the Company does not agree with these adjustments. The Company responds to Staff recommendations related to the AMI Network, ACI Residential Methane Detectors, Connected RMD and Damage Prevention Enhancements programs in the rebuttal

testimony of the Gas Safety Panel and responds to Staff's recommendations related to the Tools and Equipment program in the GIOP rebuttal testimony.

Q. <u>Funds for Advocacy, Political Activity, or Marketing</u>

Q. Please describe WE ACT's position regarding funds used for advocacy, political activity, and marketing.

A. WE ACT witness Sonal Jessel states that the Company has used customer funds for political activities. Ms. Jessel argues (at 69-80) that expenses incurred by the Company to prepare and deliver testimony to the New York City Council Committee on Environmental Protection and to prepare and submit comments to the Climate Action Council on the draft Scoping Plan should not be included in the Company's revenue requirements because such expenses constitute legislative lobbying and regulatory advocacy. WE ACT also opposes the recovery of expenses related to the development of National Grid's Clean Energy Vision Report ("CEV Report"), arguing that the CEV Report is political advertising.

Q. Why do the Companies disagree with WE ACT's contentions regarding lobbying activities?

A. WE ACT incorrectly contends that certain activities engaged in by the Company and its employees constitute lobbying and should be recorded below the line. For example, WE ACT contends that time spent preparing and delivering testimony before a public meeting at the invitation of the New York City Council Committee on Environmental Protection is lobbying and should be recorded below the line. Similarly, WE ACT claims that time spent participating in public meetings of the Climate Action Council or in preparing comments submitted at the request of the Council on the Draft Scoping Plan is lobbying and should

be recorded below the line. Such activities are specifically exempted from the definition of lobbying under New York State and New York City rules. Participating as a witness, attorney, or other representative in a public, on-the-record proceeding is exempted from the definition of lobbying under New York Legislative Law § 1-c(c)(A) and New York City Administrative Code § 3-211(c)(3)(iii). Likewise, responding to an official's or an agency's request for information or comments is exempted under New York Legislative Law § 1-c(c)(E) and New York City Administrative Code § 3-211(c)(3)(v). WE ACT also contends that time spent by the Company preparing comments to DEC and NYSERDA regarding their work to develop a Cap and Invest program are excludable lobbying costs. Not only is such work not lobbying because it was done based on direct requests from the agencies for information and comments, but it was also performed entirely in 2023 and could not have been reflected in the Historic Test Year. In summary, WE ACT's claims regarding the Companies' costs of participating in public proceedings and other are activities incorrectly characterized as lobbying are flawed and should be disregarded.

Q. Please respond to WE ACT's arguments regarding recovery of costs related to the CEV Report.

A. The Company disagrees with WE ACT and believes that costs related to the CEV Report are properly included in revenue requirements. The Commission's Statement of Policy on Advertising and Promotional Practices of Public Utilities, issued February 25, 1977 ("Advertising Policy Statement"), states on page 11:

> Some forms of utility institutional advertising clearly are in the public interest and their costs are a legitimate expense of doing business. These include…reports on matters of interest to the public concerning the utility's service — such as service difficulties and

> progress in overcoming them, projections of new capacity additions, plans for new or improved means of providing service, and the like. Expenses incurred by utilities for this type of advertising are clearly properly recoverable in rates.

The purpose of the CEV Report is to provide information to the Company's customers and the public regarding National Grid's plans to maintain and evolve its electric and natural gas systems to meet state and federal energy policy goals and requirements while continuing to provide safe, reliable, and affordable service to customers. In describing its purpose, the CEV Report states that "[t]his report describes National Grid's vision and the steps we are taking to leverage our existing gas and electric networks to achieve fossil-free heat fairly, affordably, and reliably for our customers and communities." As it reports on the Company's ability to meet customers' needs amid continuously evolving energy policy, the CEV Report falls within the definition of informational institutional advertising and is properly recoverable in rates.

VI. Taxes Other Than Revenue and Income Taxes

A. Property Taxes

Q. Please summarize Staff's recommendations regarding the Companies' forecast of property tax expense.

A. In the direct testimony of the SRRP (at 58-61), Staff evaluates the Companies' methodology of developing an applied growth rate of 11.35 percent for KEDLI and 11.37 percent for KEDNY. The SRRP states (at 61) that it does not agree with KEDLI's forecast of 11.35 percent growth, arguing that "[i]nherent in KEDLI's growth rate, or a contributing factor to KEDLI's annual growth in property tax, is the decline in KEDLI's obsolescence." Staff argues that "since KEDLI's EO percentage cannot go below zero, applying a growth

rate that factors in any decline in EO, inadvertently overstates KEDLI's expected growth factor, and thereby overstates KEDLI's Rate Year forecast of property tax expense." Staff asserts (SRRP at 62-63), instead, that "[t]he growth rate should be based on KEDLI's changes in property tax expense excluding the percentage decline of EO, since KEDLI's base to forecast the Rate Year reflects zero percent EO." Staff concludes by stating (SRRP at 63) "As shown in Exhibit __ (SRRP-4), from Fiscal Year 2021 to Fiscal Year 2023, KEDLI experienced property tax expense, exclusive of EO, of $228.848 million, $224.082 million, and $247.823 million respectively, or an average increase of 4.07 percent. Therefore, we propose using this 4.07 percent growth rate to forecast KEDLI's Rate Year property tax expense."

Q. How did the Company evaluate Staff's adjustment to the KEDLI growth rate?

A. First, we validated Staff's calculation of the growth rate based on expense excluding changes in obsolescence. We agree that economic obsolescence cannot go below 0 percent and KEDLI's growth rate may be lower than 11.37 percent, however this change should be equitably applied to KEDNY in the same manner.

Q. What is the result when applying Staff's methodology evenly to both KEDLI and KEDNY?

A. Based on the three-year average taxes without obsolescence as provided in the response to IR No. DPS-823 (attached hereto as Exhibit __ RRP-4R), this would raise KEDNY's growth rate from 11.37 percent to 17.17 percent. Making this change would increase KEDNY's Rate Year expense by $31.550 million. A consistent approach would mean

either raising KEDNY's growth rate to 17.17 percent and correspondingly lowering KEDLI's to 4.07 percent, or using the growth rates of 11.35 percent for KEDLI and 11.37 percent for KEDNY, as proposed by the Companies.

B. Payroll Taxes

Q. Does the Company agree with the SRRP's adjustment to payroll taxes?

A. The Company agrees that payroll taxes should be adjusted to reflect the labor forecast adopted in this proceeding. The SRRP's adjustment to payroll tax, however, reflects labor adjustments that the Company disagrees with, as discussed above.

VII. Federal and State Income Taxes

Q. Is the Company proposing any adjustments related to federal or state income taxes?

A. No, except for the flow-through effects of all of the revenue requirement changes the Company is presenting in this rebuttal filing.

VIII. Rate Base

A. Net Plant and Depreciation Expense – Plant in Service Model

Q. How did Staff forecast the Company's gas net utility plant in service and depreciation expense?

A. Staff used the Company's plant in service model and applied its proposed capital plan adjustments, flow-through adjustments for cost of removal and operating expenditures associated with capital expenditures, and depreciation rates to the model.

Q. What is the rate base and depreciation expense impact of Staff's proposed forecast?

A. Staff's proposed adjustments, in total, decrease the Company's Rate Year net utility plant in service by $14.776 million and crease to depreciation expense by $6.308 million.

Q. Does the Company agree with Staff's proposed adjustments to net utility plant in service and depreciation expense?

A. No. The Company's GIOP and IT&D Panel responds to Staff's proposed adjustments to the Company's capital plan. Company Witness Ned W. Allis addresses Staff's proposed depreciation rates.

Q. Did the Company make any other adjustments to net utility plant in service and depreciation expense in its rebuttal filing?

A. Yes. The Company adjusted capital expenditures for the Operator Qualification ITS system, as was agreed to in DPS-866, set forth in Exhibit __ (RRP-4R). This produced a rate year revenue requirement increase of $0.6 million.

Q. Did any other party propose adjustments to the Company's depreciation expense?

A. Yes. NYC Witness David Garrett also proposes adjustments to the Company's depreciation expense. Company witness Ned W. Allis addresses Mr. Garrett's proposed adjustments in his rebuttal testimony.

B. Accumulated Deferred Income Tax

Q. Please describe Staff's adjustments to Accumulated Deferred Income Tax ("ADIT").

A. Staff adjusts the Company's ADIT to reflect the impact on Staff's recommended changes to the Company's plant additions and depreciation expense and recommends that the Company formally calculate the ADIT impacts for the final plant-in-service and depreciation amounts determined in this proceeding.

Q. Does the Company agree with Staff' recommendation?

A. The Company agrees that ADIT should be calculated based on the final plant-in-service and depreciation expense adopted in this proceeding. However, the Company disagrees with Staff's proposed adjustments to plant-in-service and depreciation expense for the reasons discussed in the rebuttal testimonies of the GIOP and Company witness Ned W. Allis.

Q. Describe the changes to ADIT resulting from the Company's update.

A. The Rate Year ADIT was reduced by approximately $3.5 million as a result of the downward adjustment to the Earnings Base Capitalization Adjustment ("EBCAP") described below and in response to IR No. DPS 983, set forth in Exhibit___(RRP-4R).

C. Earnings Base Capitalization

Q. Please describe Staff's proposed adjustment to EBCAP.

A. Staff adjusted the Company's EBCAP to correct the Company's inadvertent exclusion of non-cash accounts associated with the accounting for capital leases, as set forth in the

Company's response to IR No. DPS-983. This resulted in a downward adjustment of $0.917 million for KEDLI.

Q. Does the Company agree with this adjustment?

A. Yes, the Company agrees with this adjustment for the reasons discussed in the Company's response to IR DPS-983. Please see Exhibit __ (RRP-3R), Schedule 1 for details.

IX. Regulatory Assets and Liabilities

A. Amortization of Regulatory Deferrals

Q. Does the SRRP propose any adjustments to the amortization of the Company's regulatory deferrals?

A. Yes. The SRRP recommends (at 76-77) that KEDLI amortize its existing net regulatory liability over a five-year period. Staff states that this amortization period is consistent with KEDNY's proposal for its net regulatory asset, and it will also help mitigate KEDLI bill impacts in this proceeding. The impact of Staff's proposal is a decrease of $8.124 million for KEDLI's revenue requirement.

Q. Does the Company agree with Staff's recommendation?

A. No. The Company submits this adjustment will unreasonably reduce its cash flow and complicate its efforts to maintain its existing credit metrics. As discussed in the rebuttal testimony of the Capital Structure Panel, the negative impacts on cash flow that would result from the amortization of the Company's regulatory deferrals causes the Company's cash flow from operating activities, pre-working capital to debt ("CFO pre-WC/debt")

metric to fall below 15 percent, which puts downward pressure on the Company's Moody's credit ratings.

B. New and Existing Deferrals

Q. Does the SRRP recommend any changes to the Company's currently existing deferrals or the new deferrals proposed by the Company in this proceeding?

A. Yes. The SRRP (at 78-79) recommends discontinuing the Company's paving expense deferral. The SRRP also opposes the Company's proposed reconciliations for property taxes (SRRP at 64), uncollectible expense (SRRP at 79-82) and late payment charge revenues (SRRP at 82-83).

Q. Why does Staff oppose the property tax reconciliation proposed by the Company?

A. Staff opposes the use of a property tax reconciliation in the context of a one-year rate proceeding (SRRP at 64).

Q. Do you agree with the SRRP's recommendation to eliminate the property tax reconciliation mechanism in a one-year rate proceeding?

A. No. The SRRP's proposal to eliminate the property tax reconciliation mechanism places an undue level of risk on the Company and its customers. Because of the variability of forecasting property taxes and the impact of factors outside of the Company's control (*e.g.*, property tax rates, assessments, effects of the COVID-19 pandemic), a symmetrical property tax reconciliation mechanism that insulates the Company and customers from

such variations is reasonable, appropriate, and in the best interest of customers and the Company, even for a one-year case.

Q. Did any other parties comment on the Company's proposed property tax reconciliation mechanism?

A. Yes, NYC Witness Michele Chait (at 36) opposed the Company's proposed changes to the property tax reconciliation mechanism and recommended retaining the current property tax reconciliation mechanism.

Q. Does the Company agree with Ms. Chait's proposal?

A. No, the Company believes the proposed changes to the property tax reconciliation mechanism are needed for the reasons discuss in the Panel's direct testimony.

Q. What is the Company's position with regard to the reconciliation mechanisms related to uncollectible expense and late payment charge revenues?

A. The Company's positions regarding the uncollectible expense reconciliation mechanism and the late payment charge revenue reconciliation mechanism are discussed in the rebuttal testimonies of the Customer Panel and RDP, respectively. These panels respond to the arguments made by the SRRP and NYC Witness Chait with respect to these reconciliation mechanisms.

Q. Do any other Company witness discuss the need for deferral treatment related to potential significant incremental expenses identified during rebuttal?

A. Yes. The Company's GIOP and Gas Safety Panel discuss the need for deferral treatment related to the Roadway Excavation Quality Assurance Act and PHMSA's recent notice of proposed rulemaking regarding leak detection and repairs.

X. Flow-Through Adjustments

Q. Has the Company reflected any additional flow-through adjustments in its revenue requirement?

A. Yes. Changes to O&M expense have an impact on working capital requirements. Additionally, any change in rate base results in a change to return on rate base. Moreover, there are flow-through adjustments resulting from changes to the Company's revenue requirement, including adjustments for purchase gas, revenue taxes, productivity, payroll taxes, uncollectible expense, income taxes, and deferred taxes. The flow-through adjustments are reflected in the appropriate sections of the Panel's Exhibits.

XI. Term of Rate Plan

Q. NRDC Witness Napoleon (at 53) recommends that any rate plan approved in this proceeding be for one or two years only. Does the Panel agree with this recommendation?

A. No. The Commission has recognized several benefits that result from longer-term rate plans. For example, in adopting a three-year rate plan in the Company's prior rate case, the Commission found that the three-year term would: (1) allow the Companies to focus

on managing their gas businesses rather than expending resources on additional annual rate filings; (2) provide rate stability and certainty to customers; (3) enable the Companies to smooth rate increases over several years; and (4) benefit market participants seeking to provide new or enhanced products and services by allowing certainty in long-term planning efforts. Additionally, the Company believes that NRDC's concerns regarding longer-term rate plans can be eliminated or mitigated through the settlement process.

XII. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes, it does.

List of Exhibits

Exhibit __ (RRP-1R)	Summary Revenue Requirements
Exhibit __ (RRP-2R)	Schedule: O&M Expenses – Labor
	Schedule 2: Injuries and Damages
	Schedule 3: Rate Case Expense
Exhibit __ (RRP-3R)	Earnings Report/Earnings Capitalization
Exhibit __ (RRP-4R)	Relevant Portions of Company Information Request ("IR") Responses

Exhibit __ (RRP-1R)

Summary Revenue Requirements

Exhibit __ (RRP-2R)

Schedule: O&M Expenses – Labor

Schedule 2: Injuries and Damages

Schedule 3: Rate Case Expense

Exhibit __ (RRP-3R)

Earnings Report/Earnings Capitalization

Exhibit __ (RRP-4R)
Relevant Portions of Company Information Request ("IR") Responses

INDEX OF EXHIBITS

Exhibit_____(RRP-1R): Summary Revenue Requirements

Exhibit_____(RRP-2R): Operations & Maintenance Expenses – Labor (Schedule 1), Injuries and Damages (Schedule 2), Rate Case Expense (Schedule 3)

Exhibit_____(RRP-3R): Earnings Report/Earnings Capitalization

Exhibit_____(RRP-4R): Relevant Portions of Company IR Responses

Exhibit_____(RRP-1R)

Rebuttal

Summary Revenue Requirements, By Component, for the

Historic Test Year Ended December 31, 2022 and

Rate Years Ending March 31, 2025,

March 31, 2026, March 31, 2027, and March 31, 2028 Summary

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Statement of Operating Income - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

	C&U Filing Rate Year Ending March 31, 2025	Adj. #	Staff Adjustments	Company Adjustments to Staff Amounts	Rebuttal Rate Year Ending March 31, 2025	Base Revenue Increase Required	Rate Year Ending March 31, 2025 with Base Revenue Requirement
Operating Revenues	$ 1,465,698	1	$ (58,982)	$ 16,380	$ 1,423,096	$ 320,334	$ 1,743,430.11
Deductions							
Purchased Gas Costs	$ 485,357	2	$ (9,658)	$ 9,658	$ 485,357		$ 485,357
Revenue Taxes	$27,992	3	(1,487)	395	26,899	6,055	32,954
Total Deductions	$ 513,349		$ (11,145)	$ 10,053	$ 512,257	$ 6,055	$ 518,312
Gross Margin	$ 952,349		$ (47,837)	$ 6,327	$ 910,839	$ 314,279	$ 1,225,118
Total Operation & Maintenance Expenses	$ 341,997	4	$ (28,220)	$ 27,601	$ 341,378	$ 1,946	$ 343,324
Amortization of Regulatory Deferrals	13,008	5	(8,214)	8,214	13,008		13,008
Depreciation, Amort. & Loss on Disposition	146,152	6	(6,308)	6,308	146,153		146,153
Taxes Other Than Revenue & Income Taxes	317,487	7	(38,867)	38,858	317,479		317,479
Total Operating Revenue Deductions	$ 818,645		$ (81,609)	$ 80,982	$ 818,018	$ 1,946	$ 819,964
Operating Income Before Income Taxes	$ 133,704		$ 33,771	$ (74,654)	$ 92,822	$ 312,333	$ 405,155
Income Taxes							
Federal Income Taxes	$ (6,715)	8	$ 6,673	$ (14,639)	$ (14,681)	$ 59,408	$ 44,727
State Income Taxes	1,691	9	3,307	(7,256)	(2,258)	29,437	27,179
Total Income Taxes	$ (5,024)		$ 9,980	$ (21,895)	$ (16,939)	$ 88,845	$ 71,906
Operating Income After Income Taxes	$ 138,728		$ 23,791	$ (52,759)	$ 109,761	$ 223,487	$ 333,249
Rate Base	$ 4,710,976	10	$ (15,810)	$ 18,390	$ 4,713,556		$ 4,713,556
Rate of Return	2.94%				2.33%		7.07%

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Operation & Maintenance Expenses - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

	C&U Filing Rate Year Ending March 31, 2025	Adj. #	Staff Adjustments	Rate Year As Adjusted by Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending March 31, 2025
Operation & Maintenance Expenses:						
Departmental Items:						
Consultants	$ 10,722	4a	$ (663)	$ 10,060	$ 386	$ 10,446
Contractors	38,365			38,365		38,365
Donations	-			-		-
Employee Expenses	2,556			2,556		2,556
Hardware	541	4b	(298)	243	298	541
Software	12,462	4c	(311)	12,151	311	12,462
Other	362			362		362
Rents	4,368			4,368		4,368
Service Company Rents	53,243	4d	(6,099)	47,144	6,099	53,243
Construction Reimbursement	-			-		-
FAS 106	-			-		-
FAS 112	188			188		188
Health Care	12,085			12,085		12,085
Group Life Insurance	670			670		670
Other Benefits	432			432		432
Pension	-			-		-
Thrift Plan	5,105			5,105		5,105
Workers Comp	972			972		972
Materials	7,122			7,122		7,122
Legal	796			796		796
Accounting	1,551			1,551		1,551
Postage	4,827			4,827		4,827
Total Labor	98,462	4e	(3,641)	94,821	3,533	98,353
Transportation	4,363			4,363		4,363
Energy Efficiency Program	27,816			27,816		27,816
Injuries & Damages	6,740			6,740	(3)	6,737
Savings	(4,007)	4f	(999)	(5,006)	1,113	(3,894)
Productivity Adjustment	(2,272)	4g	85	(2,187)	(82)	(2,269)
Rate Case Expense	343			343	5	348
Regulatory Assessment Fees	5,738			5,738		5,738
Uncollectible Accounts	8,806	4h	(374)	8,432	115	8,547
Site Investigation & Remediation Expenses	6,828	4i	(2,015)	4,813	2,015	6,828
Economic Development	1,160			1,160		1,160
Low Income Program	8,849			8,849		8,849
Incentive Program	-			-		-
Paving	1,873			1,873		1,873
Joint Facilities	-			-		-
Other Initiatives: FOH	-			-		-
Other Initiatives: IT	5,121	4j	(5,216)	(95)	5,059	4,964
Other Initiatives: Other Programs	5,030	4k	(3,930)	1,100	3,930	5,030
Other Initiatives: FTEs	6,620	4l	(2,218)	4,403	2,216	6,618
Other Initiatives: GIOP&GSP	4,159	4m	(2,541)	1,618	2,607	4,225
Sub Total - Departmental	$ 341,997		$ (28,220)	$ 313,777	$ 27,601	$ 341,378
TOTAL	$ 341,997		$ (28,220)	$ 313,777	$ 27,601	$ 341,378

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Taxes Other Than Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

	C&U Filing Rate Year Ending March 31, 2025	Adj. #	Staff Adjustments	Rate Year As Adjusted by Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year
Real Estate Taxes						
Real Property	$ 21,894		$ -	$ 21,894		$ 21,894
Special Franchise	288,413	7a	(38,599)	249,813	38,599	288,413
Total Real Estate Taxes	$ 310,307		$ (38,599)	$ 271,708	$ 38,599	$ 310,307
Payroll Taxes	$ 7,107	7b	$ (267)	$ 6,839	$ 259	$ 7,098
Other	$ 74		$ -	$ 74		$ 74
Total Taxes Other Than Revenue and Income Taxes	$ 317,487		$ (38,867)	$ 278,621	$ 38,858	$ 317,479

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

FEDERAL INCOME TAX - Company Rebuttal Position

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 92,822		$ 92,822	$ 19,493		
Interest		(111,711)		(111,711)	(23,459)		
Total Pretax Income / (Loss)		$ (18,890)		$ (18,890)	$ (3,966)		$ (3,966)
New York State Income Taxes		$ 2,258		$ 2,258	$ 474		$ 474
Flow-through AFUDC		(1,065)		(1,065)	(224)		(224)
Flow-through Depreciation		326		326	68		68
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		42		42	9		9
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Tax Only Item - Fed Tax Rate Change 2018 (excess ADIT amortization)		-		-	(11,042)		(11,042)
Excess ADIT Amortization (10 Years)		-		-	-		-
TOTAL FEDERAL INCOME TAX EXPENSE	8	$ (17,330)	$ -	$ (17,330)	$ (14,681)	$ -	$ (14,681)
Federal Income Tax Rate:	21.0%						

STATE INCOME TAX - Company Rebuttal Position

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 92,822		$ 92,822	$ 8,748		
Interest		(111,711)		(111,711)	(10,529)		
Total Pretax Income / (Loss)		$ (18,890)		$ (18,890)	$ (1,781)		$ (1,781)
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC Equity		(1,065)		(1,065)	(100)		(100)
Flow-through AFUDC Equity Depreciation		326		326	31		31
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		42		42	4		4
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - NYS & MTA Tax Rate Change 2016		-		-	(412)		(412)
Tax Only Item - NYS & MTA Tax Rate Change 2021		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	-		-
TOTAL FEDERAL INCOME TAX EXPENSE	9	$ (19,587)	$ -	$ (19,587)	$ (2,258)	$ -	$ (2,258)
State Income Tax Rate	9.43%						

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

FEDERAL INCOME TAX - As Adjusted by Staff

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 167,475		$ 167,475	$ 35,170		
Interest		(111,275)		(111,275)	(23,368)		
Total Pretax Income / (Loss)		$ 56,200		$ 56,200	$ 11,802		$ 11,802
New York State Income Taxes		$ (4,820)		$ (4,820)	$ (1,012)		$ (1,012)
Flow-through AFUDC		(1,065)		(1,065)	(224)		(224)
Flow-through Depreciation		326		326	68		68
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		42		42	9		9
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Tax Only Item - Fed Tax Rate Change 2018 (excess ADIT amortization)		-		-	(11,042)		(11,042)
Excess ADIT Amortization (10 Years)		-		-	-		-
TOTAL FEDERAL INCOME TAX EXPENSE	8	$ 50,682	$ -	$ 50,682	$ (399)	$ -	$ (399)
Federal Income Tax Rate:	21.0%						

STATE INCOME TAX - As Adjusted by Staff

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 167,475		$ 167,475	$ 15,785		
Interest		(111,275)		(111,275)	(10,488)		
Total Pretax Income / (Loss)		$ 56,200		$ 56,200	$ 5,297		$ 5,297
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC Equity		(1,065)		(1,065)	(100)		(100)
Flow-through AFUDC Equity Depreciation		326		326	31		31
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		42		42	4		4
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - NYS & MTA Tax Rate Change 2016		-		-	(412)		(412)
Tax Only Item - NYS & MTA Tax Rate Change 2021		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	-		-
TOTAL FEDERAL INCOME TAX EXPENSE	9	$ 55,502	$ -	$ 55,502	$ 4,820	$ -	$ 4,820
State Income Tax Rate	9.43%						

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Summary of Rate Base - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

	C&U Filing Rate Year Ending March 31, 2025	Adj. #	Staff Adjustments	Rate Year As Adjusted by Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending March 31, 2025
Net Utility Plant	$ 5,492,037	10a/10b	$ (14,776)	$ 5,477,261	$ 14,782	$ 5,492,043
Regulatory Assets / Liabilities	63,113			63,113	17	63,130
Accumulated Deferred Income Taxes - Federal	(989,729)	10c	2,663	(987,066)	(214)	(987,280)
Accumulated Deferred Income Taxes - State	(260,688)	10d	701	(259,987)	368	(259,619)
Working Capital						
Materials and supplies	$ 93,632		$ -	$ 93,632		$ 93,632
Prepayments	95,413		-	95,413		95,413
O&M Cash Allowance (1/8 O&M exp)	41,649	10e	(3,481)	38,168	3,436	41,604
Supply Cash Allowance (Sep 09 lead/lag study)	38,718		-	38,718		38,718
Change in Supply Cash Allowance (3.64% x RY Gas exp)	(11,892)		-	(11,892)		(11,892)
Subtotal Working Capital	$ 257,520		$ (3,481)	$ 254,039	$ 3,436	$ 257,475
Subtotal Avg. Before EBCAP Adj.	$ 4,562,252		$ (14,893)	$ 4,547,359	$ 18,390	$ 4,565,749
Excess Earnings Base Adjustment	$ 148,724	10f	$ (917)	$ 147,807	$ (0)	$ 147,807
Total Rate Base	$ 4,710,976		$ (15,810)	$ 4,695,166	$ 18,390	$ 4,713,556

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Capital Structure Forecast - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

Company's Rebuttal Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,427,353	51.70%	4.57%	2.36%	2.36%
Customer Deposits	14,133	0.30%	3.45%	0.01%	0.01%
Common Equity	2,253,680	48.00%	9.80%	4.70%	6.57%
Total	$ 4,695,166	100.00%		7.07%	8.94%

Staff Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,427,353	51.73%	4.56%	2.36%	2.36%
Customer Deposits	14,133	0.27%	3.45%	0.01%	0.01%
Common Equity	2,253,680	48.00%	9.10%	4.37%	6.11%
Total	$ 4,695,166	100.00%		6.74%	8.48%

Company Rebuttal

OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates To Apply To Rev Req	
Bad Debt % For Rev Req	0.61%
GRT Rate For Rev Req	1.89%
Federal Income Tax Rate	21.00%
NYS Income Tax Rate	9.43%
General Inflation (from 12/31/2022 to 3/31/2025)	6.59%

Staff Rates

OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates To Apply To Rev Req	
Bad Debt % For Rev Req	0.61%
GRT Rate For Rev Req	1.89%
Federal Income Tax Rate	21.00%
NYS Income Tax Rate	9.43%
General Inflation (from 12/31/2022 to 3/31/2025)	6.59%

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. Case 23-G-0226
Company Rebuttal to PSC Staff Direct Case
Company Rebuttal to Staff Adjustments for the Rate Year Ending March 31, 2025
($000's)

		Staff Direct Amount		Company Adjustments to Staff Amounts		Company Rebuttal Amount	
Adj. 1	**Operating Revenues**						
(1)	To adjust revenues to include the RAC (DPS-779)	$ 2,500		$ -		$ 2,500	
(2)	To adjust revenue to remove the DCSM Surcharge	(7,396)		-		(7,396)	
(3)	To adjust revenues to reflect Staff's sales forecast	(17,669)		17,669		-	
(4)	To adjust revenue tax tracking flowthrough			(1,092)		(1,092)	
(5)	To adjust revenue to reflect the flowthrough of LPC	-		(197)		(197)	
(6)	To adjust revenue to remove the NUP Surcharge	(36,417)	$ (58,982)	-	$ 16,380	(36,417)	$ (42,602)
Adj. 2	**Purchased Gas Costs**						
	To adjust purchased gas tracking Staff's sales forecast	$ (9,658)	$ (9,658)	$ 9,658	$ 9,658	$ -	$ -
Adj. 3	**Revenue Taxes**						
	To adjust revenue tax tracking flowthrough	$ -		$ (1,092)		$ (1,092)	
	To adjust revenue tax tracking Staff's sales forecast	(1,487)	$ (1,487)	$ 1,487	$ 395	-	$ (1,092)
Adj. 4	**Operating and Maintenance Expenses**						
a.	**Consultants**						
	To adjust consultants expense to remove general inflation	$ (663)		$ 663		$ -	
	To adjust consultants expense to remove Guidehouse CLCPA Study (NRDC-36)		$ (663)	$ (276)	$ 386	(276)	$ (276)
b.	**Hardware**						
	To adjust hardware to reflect the removal of IBM Corp charges from the Historic Test Year	$ (298)	$ (298)	$ 298	$ 298	$ -	$ -
c.	**Software**						
	To adjust software to reflect a 5-year average for vendor Microsoft Corp.	$ (311)	$ (311)	$ 311	$ 311	$ -	$ -
d.	**Service Company Rents**						
(1)	To adjust service company rents expense to reflect Staff's ROR	$ (1,807)		$ 1,807		$ -	
(2)	To adjust service company rents expense to reflect Staff's forecast of IT&D projects	(4,292)	$ (6,099)	4,292	$ 6,099	-	$ -
e.	**Labor**						
(1)	To reflect Staff's management wage increase for July 1, 2023	$ (251)		$ 251		$ -	
(2)	To adjust labor expense to reflect Staff's understaffing levels	(3,390)		3,390		-	
(3)	To remove MJE reclassing BTL labor (WE ACT-91)	-	$ (3,641)	(108)	$ 3,533	(108)	$ (108)
	Injuries & Damages						
	Corrected inflation formula error		$ -	$ (3)	$ (3)	$ (3)	$ (3)
f.	**Savings**						
	To Include CTA Resevoir Woods Exit Fee (DPS-870)	$ -		$ 114		$ 114	
	To adjust savings removing the costs to achieve	$ (999)	$ (999)	999	$ 1,113	-	$ 114
g.	**Productivity Adjustment**						
	To adjust productivity tracking Staff's labor forecast	$ 85		$ (85)		$ -	
	Flowthrough from MJE reclassing BTL labor adjustment (WE ACT-91)		$ 85	2	$ (82)	2	$ 2
	Rate Case Expense						
	To adjust amortization for additional Public Statement Hearing Cost		$ -	$ 5	$ 5	$ 5	$ 5
h.	**Uncollectible Accounts**						
	To adjust uncollectibles expense tracking Staff's revenue forecast	$ (374)	$ (374)	$ 115	$ 115	$ (259)	$ (259)
i.	**Site Investigation & Remediation Expenses**						
	To adjust SIR expense to reflect Staff's forecast	$ (2,015)	$ (2,015)	$ 2,015	$ 2,015	$ -	$ -
j.	**Other Initiatives: IT**						
(1)	To correct double count of IT OpEx per DPS-669	$ (157)		$ -		$ (157)	
(2)	To reflect Staff's OPEX and RTB tracking Staff's IT&D capital forecast	(5,059)	$ (5,216)	5,059	$ 5,059	-	$ (157)
k.	**Other Initiatives: Other Programs**						
(1)	To adjust other initiatives - other programs: removing the Weatherization Safety Program	$ (1,750)		$ 1,750		$ -	
(2)	To adjust other initiatives - other programs: removing the Disadvantaged Community Outreach Model	(250)		250		-	
(3)	To adjust other initiatives - other programs: removing the Language Access Plan Pilot	(125)		125		-	
(4)	To adjust other initiatives - other programs: removing the Digital Building Replica Pilot	(300)		300		-	
(5)	To adjust other initiatives - other programs: removing the LMI Outreach and Education Program	(250)		250		-	
(6)	To adjust other initiatives - other programs: removing the Prepaid/Credit/Debit Card No-Fee Model	(1,255)	$ (3,930)	1,255	$ 3,930	-	$ -
l.	**Other Initiatives: FTEs**						
	To reflect Staff's management wage increase of 4% for July, 1 2023	$ (25)		$ 25		$ -	
				(2)		(2)	
	To reflect Staff's recommendation for incremental FTEs	(2,193)	$ (2,218)	2,193	$ 2,216	-	$ (2)
m.	**Other Initiatives: GIOP&GSP**						
(1)	To adjust other initiatives - other programs: removing the AMI Network	$ (1,000)		$ 1,000		$ -	
(2)	To adjust other initiatives - other programs: removing the ACI - Residential Methane Detectors	(759)		759		-	
(3)	To adjust other initiatives - other programs: shifting dollars from DP to Staff's RMD program - fully offset by NRAs	(712)		712		-	
(4)	To adjust other initiatives - other programs: Operator Qualification Program - Pipeline Safety - ITS System (DPS-866)	-		66		66	
(5)	To adjust other initiatives - other programs: removing the Tools & Equipment	(70)	$ (2,541)	70	$ 2,607	-	$ 66
	Total Operating and Maintenance Expense Adjustment		**$ (28,220)**		**$ 27,601**		**$ (619)**

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. Case 23-G-0226
Company Rebuttal to Staff Adjustments for the Rate Year Ending March 31, 2025
($000's)

Adj. 5	**Amortization of Regulatory Deferrals**								
	To amortize KEDLI's net regulatory liability over a 5-year period	$ (8,214)	$ (8,214)	$ 8,214	$ 8,214	$ -	$ -		
Adj. 6	**Depreciation Expense**								
(1)	To adjust depreciation expense tracking Staff's adjustments to utility plant	$ (270)		$ 270		$ -			
(2)	To adjust depreciation expense to reflect Staff's depreciation rates	(6,037)	$ (6,308)	6,038	$ 6,308	0	**$ 0**		
Adj. 7	**Taxes Other Than Revenue & Income Taxes**								
	a. Real Estate Taxes								
	To adjust property taxes to reflect Staff's property tax growth rate of 4.07%	$ (38,599)	$ (38,599)	$ 38,599	$ 38,599	$ -	**$ -**		
	b. Payroll Taxes								
	To adjust payroll taxes tracking Staff's labor forecast	$ (267)		$ 267		$ -			
	Flowthrough from MJE reclassing BTL labor adjustment (WE ACT-91)		$ (267)	(8)	$ 259	(8)	$ (8)		
	Total Taxes Other Than Revenue & Income Taxes Adjustments		**$ (38,867)**		**$ 38,858**		**$ (8)**		
Adj. 8	**Federal Income Taxes**								
	To adjust current federal income taxes, tracking Staff's adjustments	$ 6,673	$ 6,673	$ (14,639)	$ (14,639)	$ (7,966)	**$ (7,966)**		
Adj. 9	**State Income Taxes**								
	To adjust current state income taxes, tracking Staff's adjustments	$ 3,307	$ 3,307	$ (7,256)	$ (7,256)	$ (3,949)	**$ (3,949)**		
	Total Current Income Tax Adjustments		**$ 9,980**		**$ (21,895)**		**$ (11,915)**		
Adj. 10	**Rate Base**								
	a. Utility Plant								
	To adjust utility plant to reflect Staff's forecast of plant additions	$ (16,246)	$ (16,246)	$ 16,253	$ 16,253	$ 6	**$ 6**		
	b. Accumulated Depreciation								
(1)	To adjust accumulated depreciation to reflect Staff's depreciation rates	$ 2,983		$ (2,983)					
(2)	To adjust accumulated depreciation to tracking Staff's adjustments to utility plant	(1,512)	$ 1,470	1,512	$ (1,470)	-	**$ -**		
	Total Net Utility Plant Adjustment		**$ (14,776)**		**$ 14,782**		**$ 6**		
	Regulatory Assets & Liabilities								
	To adjust for $20K for additional Public Statement Hearing Cost		$ -	$ 17	$ 17	$ 17	**$ 17**		
	c. Accumulated Deferred Income Taxes - Federal								
	To adjust ADIT tracking Staff's adjustment to plant-in-service, depreciation expense, and amortization of regulatory deferrals	$ 2,663	$ 2,663	$ (214)	$ (214)	$ 2,449	**$ 2,449**		
	d. Accumulated Deferred Income Taxes - State								
	To adjust ADIT tracking Staff's adjustment to plant-in-service, depreciation expense, and amortization of regulatory deferrals	$ 701	$ 701	$ 368	$ 368	$ 1,069	**$ 1,069**		
	e. Working Capital								
	To adjust working capital to reflect Staff's O&M adjustments	$ (3,481)	$ (3,481)	$ 3,436	$ 3,436	$ (45)	**$ (45)**		
	f. Excess Earnings Base (EB/CAP)								
	To adjust EBCAP to adjust for non-cash capital lease transactions per DPS-983	$ (917)	$ (917)	$ (0)	$ (0)	$ (917)	**$ (917)**		
	Total Rate Base Adjustments		**$ (15,810)**		**$ 18,390**		**$ 2,580**		

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Depreciation Expense and Amortization of Regulatory Deferrals - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

	C&U Filing Rate Year Ending March 31, 2025	Adj. #	Staff Adjustments	Rate Year As Adjusted by Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending March 31, 2025
Depreciation Expense (acct 403)	$ 146,152	6	$ (6,308)	$ 139,845	$ 6,308	$ 146,153
Amortization Expense (acct 404-405)	-		-	-		-
Accretion Expense (acct 411.10)	-		-	-		-
(Gain) Loss on Disposition of Utility Plant (acct 411.7)	-		-	-		-
Total Depreciation & Amortization Expense	$ 146,152		$ (6,308)	$ 139,845	$ 6,308	$ 146,153

Summary of Amortization of Regulatory Deferrals

Amortization of Regulatory Deferrals						
SIR Deferral (Dec 2016)	$ 14,168		$ -	$ 14,168	$ -	$ 14,168
Econ Dev 16-G-0058/0	(1,160)		-	(1,160)	-	(1,160)
Net regulatory liability	(8,214)	5	(8,214)	(16,428)	-	(16,428)
	$ 13,008		$ (8,214)	$ 13,008	$ -	$ 13,008

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Tax Deduction for Interest Expense - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

	C&U Filing Rate Year Ending March 31, 2025	Staff Adjustments	Rate Year As Adjusted by Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending March 31, 2025
Avg Rate Base Per Books	$ 4,562,252	$ (14,893)	$ 4,547,359	$ 18,390	$ 4,565,749
Plus: Forecast of Avg Interest Bearing CWIP	-	-	-		-
Less: Rate Base Moved to GAC	-	-	-		-
Less: Excess Earnings Adj (EBCAP)	(148,724)	917	(147,807)	0	(147,807)
	$ 4,710,976	$ (15,810)	$ 4,695,166	$ 18,390	$ 4,713,556
Weighted Cost of LTD Debt	2.34%	0.02%	2.36%	0.00%	2.36%
Weighted Cost of Cust Deposits	0.01%	0.00%	0.01%	0.00%	0.01%
	2.35%	0.02%	2.37%	0.00%	2.37%
Total Income Tax Interest Deduction	$ 110,708	$ 567	$ 111,275	$ 436	$ 111,711

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Working Capital - Cash Allowance - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

Description	C&U Filing Rate Year Ending March 31, 2025	Staff Adjustments	Rate Year As Adjusted by Staff	Company Adjustments to Staff Amounts	Company Rebuttal Rate Year Ending March 31, 2025
Total O&M Expense	$ 341,997	$ (28,220)	$ 313,777	$ 27,601	$ 341,378
Remove Major Non-Cash Items Included in O&M Expense:					
Bad Debt Expense	(8,806)	374	(8,432)	(115)	(8,547)
Other (Energy Efficiency, 18-a Assessment)	-	-	-		-
Subtotal	$ (8,806)	$ 374	$ (8,432)	$ (115)	$ (8,547)
Add Major Cash Items Not Included in O&M Expense:					
Other	$ -	$ -	$ -	$ -	$ -
Subtotal	$ -	$ -	$ -	$ -	$ -
Total Adjustments	$ (8,806)	$ 374	$ (8,432)	$ (115)	$ (8,547)
Adjusted O&M Expense	$ 333,191	$ (27,846)	$ 305,345	$ 27,486	$ 332,831
Departmental Cash Allowance - 1/8 (45 days)	$ 41,649	$ (3,481)	$ 38,168	$ 3,436	$ 41,604

Keyspan Gas East Corporation d/b/a National Grid
PSC Case No. 23-G-0226
Comparison of Average Historic Rate Base and Capitalization - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

		TOTAL	Staff Adjustments	TOTAL	Company Adjustments	TOTAL
(A)	AVERAGE RATE BASE - PER BOOKS	$ 3,726,057	-	$ 3,726,057		$ 3,726,057
(B)	ADD: Average Interest-Bearing CWIP	180,554	-	180,554		180,554
(C)	TOTAL EARNINGS BASE (A+B)	$ 3,906,611	$ -	$ 3,906,611	$ -	$ 3,906,611
	Percent	100.00%				
(D)	AVERAGE CAPITALIZATION (CE excludes merger Goodwill, and may be adj for TCI if required):					
	Long Term Debt	$ 1,583,333	$ -	$ 1,583,333		$ 1,583,333
	Notes Payable	-		-		-
	Gas Supplier Refunds	183		183		183
	Customer Deposits	14,250		14,250		14,250
	Preferred Stock	-		-		-
	Common Equity (excludes merger GW; incl TCI adj)	2,098,304		2,098,304		2,098,304
	Avg. Allocated to Elec / Gas based on Earnings Base	$ 3,696,070	$ -	$ 3,696,070		$ 3,696,070
(E)	Add Dividends Declared But Unpaid (representing the timing difference between declaration and payment)	-	-	-		-
(F)	SUBTOTAL (D+E)	$ 3,696,070	$ -	$ 3,696,070	$ -	$ 3,696,070
	LESS Average Investments In:					
	Detailed Balance Sheet Accounts	$ (456,435)	$ 917	$ (455,518)	$ (0)	$ (455,518)
	Accumulated Def Inc Tax Adjustment	58,451	-	58,451		58,451
	Goodwill	n/a				
(G)	Total Deductions	$ (397,983)	$ 917	$ (397,066)	$ (0)	$ (397,066)
(H)	Capitalization Dedicated to Public Service (F-G)	$ 4,094,053		$ 4,093,136		$ 4,093,136
(J)	Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H)	$ (187,442)		$ (186,525)		$ (186,525)

Exhibit_____(RRP-2R)

Operation and Maintenance Expenses by Expense Type

for the Historic Test Year Ended December 31, 2022, and

Rate Years Ending March 31, 2025,

March 31, 2026, March 31, 2027, and March 31, 2028

SCHEDULE 1

Total Labor

Keyspan Gas East Corporation d/b/a National Grid
Labor and Incremental FTEs
Cases 23-G-0225/0226
Company Rebuttal

	Case	2017 Case	2019 Case	2023 Case
	Number	16-G-0058/0059	19-G-0309/0310	23-G-0225/0226
	HTY	9/30/2015	12/31/2018	12/31/2022
Headcount per Labor Model				
OpCo	Mgmt	71	74	101
	Rep	591	631	616
Total OpCo FTEs		662	705	717
ServCo	Mgmt	4,005	5,307	5,900
	Rep	1,554	1,595	1,381
Total ServCo FTEs		5,559	6,902	7,281
Total OpCo + ServCo FTEs		6,221	7,607	7,998
ServCo to KEDLI Allocation		8.32%	8.15%	8.28%
Allocated SC to LI FTEs		462	562	603
Total OpCo + Allocated ServCo FTEs		1,124	1,267	1,320
Incremental FTEs per Other Initiatives				
	OpCo	107	81	
	ServCo	37		
		144	81	

	2017 Case	2019 Case
Final Approved FTEs	1,268	1,348
	HTY 2018 in 2019 Case	HTY 2022 in 2023 Case
Subsequent rate case HTY actual FTEs	1,267	1,320
Over(under) Staffing	(1)	(28)
Rate	-0.1%	-2.2%
Average		-1.1%

SCHEDULE 2

Injuries & Damages

NY Gas Rate Case - KS Gas East Corp/KEDLI
Injuries and Damages
Normalized Historical Insurance Data
Insurance Payments Made to NGUSA
Calendar Year 2022
LIST OF INSURANCE POLICIES

					Calendar Year 2022							
Line of Coverage	Policy Period	Insurer	Total Premium Paid	NGUSA Share Only	CY22	Alloc. Code	Alloc. %	CY22 Allocated to KEDLI	Annual Premium	Year to start Inflating from	Inflation Rate	FY 2025
Property/ Business Interruption	04/01/23-04/01/24	National Grid Insurance USA Ltd. (NGI USA)	8,295,192	8,295,192	6,221,394	Manual	18.658%	1,160,797	1,547,729	FY2024	2.15%	1,581,060
							Total PDBI	1,160,797				1,581,060
Property Terrorism	04/01/23-04/01/24	National Grid Insurance USA Ltd. (NGI USA)	608,681	608,681	456,511	Manual	18.671%	85,233	113,644	FY2024	2.15%	116,092
							Total Terrorism	85,233				116,092
Directors & Officers	12/01/22-12/01/23	AEGIS	748,928	748,928	62,411	GT53	9.090%	5,673	68,078	CY2023	2.77%	69,962
Directors & Officers	12/01/22-12/01/23	EIM	424,814	424,814	35,401	GT53	9.090%	3,218	38,616	CY2023	2.77%	39,685
Directors & Officers	12/01/22-12/01/23	Various	934,260	919,260	76,605	GT53	9.090%	6,963	83,561	CY2023	2.77%	85,874
							Total Directors & Officers	15,854				195,521
Public Liability	04/01/23-04/01/24	National Grid Insurance Company Limited (NGI CL)	8,500,000	8,500,000	6,375,000	Manual	10.251%	653,470	871,294	FY2024	2.15%	890,057
							Total Excess Liability	653,470				890,057
Cyber Risk	04/01/23-04/01/24	National Grid Insurance USA Ltd. (NGI USA)	3,643,279	3,643,279	2,732,459	Manual	9.938%	271,552	362,069	FY2024	2.15%	369,866
							Total Cyber	271,552				369,866
Aviation (UAS)	04/01/23-04/01/24	Global Aerospace, Inc.	261,061	118,204	118,204	GT53	9.200%	10,875	10,875	FY2024	2.15%	11,109
							Total Aviation	10,875				11,109
Business Travel Accident	04/01/23-04/01/26	(AIG)	165,240	55,080	32,130	N918	7.310%	2,349	4,026		0.00%	4,026
							Total Business Travel Accident	2,349				4,026
Crime	04/01/23-04/01/24	National Grid Insurance Company Limited (NGI CL)	170,649	170,649	127,987	Manual	9.938%	12,719	16,959	FY2024	2.15%	17,324
							Total Fidelity Bond-Crime	12,719				17,324
Excess General Liability	04/01/23-04/01/24	EIM	2,817,500	2,817,500	2,113,125	Manual	9.948%	210,222	280,295	FY2024	2.15%	286,332
Public (Excess) Liability	04/01/23-04/01/24	National Grid Insurance USA Ltd. (NGI USA)	4,655,275	4,655,275	3,491,456	Manual	9.948%	347,343	463,124	FY2024	2.15%	473,098
							Total Excess Liability	557,565				759,429
Professional Indemnity	04/01/23-04/01/24	National Grid Insurance Company Limited (NGI CL)	110,000	110,000	82,500	Manual	4.517%	3,727	4,969	FY2024	2.15%	5,076
							Total Professional Indemnity	3,727				5,076
Rail Road Protection	07/01/22-07/01/23	Stead Fast INS	194,611	194,611	194,611	G225	36.030%	70,118	70,118	Yr Ending Q2 2023	4.29%	73,127
							Total Rail Road Protection	70,118				73,127
Employment Practices	11/30/22-11/30/23	Endurance (primary)	110,000	110,000	9,167	N918	7.310%	670	8,041	CY2023	2.77%	8,264
Employment Practices	11/30/22-11/30/23	National UN-PA (1st Excess)	71,500	71,500	5,958	N918	7.310%	436	5,227	CY2023	2.77%	5,371
Employment Practices	11/30/22-11/30/23	Beazley (2nd Excess)	29,700	29,700	2,475	N918	7.310%	181	2,171	CY2023	2.77%	2,231
							Total EPL	1,287				15,866
Fiduciary Liability	11/30/22-11/30/23	AEGIS (primary)	265,200	265,200	22,100	N918	7.310%	19,386	19,386	CY2023	2.77%	19,923
Fiduciary Liability	11/30/22-11/30/23	EIM (1st Excess)	155,733	155,733	12,978	N918	7.310%	11,384	11,384	CY2023	2.77%	11,699
Fiduciary Liability	11/30/22-11/30/23	Ace American Insurance (2nd Excess)	40,882	40,882	3,407	N918	7.310%	2,988	2,988	CY2023	2.77%	3,071
							Total Fiduciary Liability	33,759				34,693
Excess Workers' Comp	07/01/22-07/01/23	Liberty Mutual Insurance Company	1,968,883	1,968,883	164,074	N918	6.730%	11,042	11,042	Yr Ending Q2 2023	4.29%	11,516
Excess Workers' Comp	07/01/22-07/01/23	Liberty Mutual Insurance Company	1,968,883	1,968,883	820,368	N918	7.310%	59,969	131,932	Yr Ending Q2 2023	4.29%	137,593
							Total XS Workers' Comp	71,011				149,109
Transgas Audit Results		Credit to Trans gas	124,844	1,067	1,067	G012	8.100%	86				
Primary Casulty (Unreg)	04/01/23-04/01/24	Various	1,456,159	41,637	41,637	GT53	9.200%	3,831	3,831	FY2024	2.15%	3,913
							Total Other INS	3,917				3,913
Tax on Insurance Premiums		NYS Corp Tax						6,704	6,791	HTY CY22	6.59%	7,238
Tax on Insurance Premiums		IRS						7,144	7,237	HTY CY22	6.59%	7,713
							Total Tax	13,848				14,951
							Total Insurance Pre.	2,968,081				4,241,222

NY Gas Rate Case - KS Gas East Corp/KEDLI
Injuries and Damages
Normalized Historical Insurance Data
Insurance Payments Made to NGUSA
Calendar Year 2022
LIST OF INSURANCE POLICIES

					Calendar Year 2022							
Line of Coverage	Policy Period	Insurer	Total Premium Paid	NGUSA Share Only	CY22	Alloc. Code	Alloc. %	CY22 Allocated to KEDLI	Annual Premium	Year to start Inflating from	Inflation Rate	FY 2025
Surety Bonds	CY2022	Travelers					Total Bonds	76,945	77,940	HTY CY22	6.59%	83,073
Admin & General	CY2022						Total A&G	283	286	HTY CY22	6.59%	305
Property Inspection	various	Arise Inc.; Global Risk Consultants					Total Property Inspection	6,517	6,601	HTY CY22	6.59%	7,036
Broker Fee	various	Marsh; McGriff, Seibels & Williams, Inc.					Total Broker Fees	9,110	9,227	HTY CY22	6.59%	9,835
Workers Comp LOC	CY2022						Total WC LOC	1,267	1,283	HTY CY22	6.59%	1,368
							Total Insurance Pre. & Other Cost	3,062,202				4,342,840

* The Company inadvertently neglected to add Q1 2023 inflation actuals which are reflected in WP-2 Insurance Premiums Rebutt.

SCHEDULE 3

Rate Case Expense

Keyspan Gas East Corporation d/b/a National Grid
Rate Case Expense
Additional Public Statement Hearing Cost Adjustment
(Whole Dollars)

	KEDNY Historic Test Year Jan 2022 - Dec 2022	KEDLI Historic Test Year Jan 2022 - Dec 2022		KEDNY Forecasted Total Rate Case Expense Jan 2022 - Dec 2023	KEDLI Forecasted Total Rate Case Expense Jan 2022 - Dec 2023	KEDNY Adjustmen Rate Case Expense Jan 2022 - Dec 2023	KEDLI Adjustmen Rate Case Expense Jan 2022 - Dec 2023	KEDNY Forecasted Total Rate Case Expense Jan 2022 - Dec 2023	KEDLI Forecasted Total Rate Case Expense Jan 2022 - Dec 2023	Grand Total
Regulation and Pricing										
HSG Group Inc. - Cost of Service Studies	$8,000	$8,000		$105,000	$105,000			$105,000	$105,000	$210,000
Concentric Energy Advisors - Return on Equity	$0	$0		$67,500	$67,500			$67,500	$67,500	$135,000
Gannett Fleming Valuation and Rate Consultants, LLC - Depreciation	$40,715	$42,850		$82,790	$82,790			$82,790	$82,790	$165,580
Towers Watson - Compensation Study	$0	$0		$146,925	$146,925			$146,925	$146,925	$293,850
Legal										
Cullen & Dykman	$34,004	$34,004		$725,000	$725,000			$725,000	$725,000	$1,450,000
Barclay Damon	$0	$0		$130,000	$130,000			$130,000	$130,000	$260,000
Publication Requirement	$0	$0		$175,000	$115,000	$55,000	$20,000	$230,000	$135,000	$365,000
	KEDNY HTY Total	KEDLI HTY Total								
Total Expense	**$82,719**	**$84,853**		**$1,432,215**	**$1,372,215**	**$55,000**	**$20,000**	**$1,487,215**	**$1,392,215**	**$2,879,430**
		Annual amount for 4 years	$348,054					$371,804	$348,054	
		HTY Spend	$84,853					$0	$0	
		Deferred Amount	($50,850)					$371,804	$348,054	

*Note: While the workpaper indicates spend in the HTY, ($50,849.54) was deferred in HTY 2022 and ($34,003.60) was removed with normalization adjustment for HTY spend in RRP-3 OM Sch 20 Legal LI23, WP-1.

KEDNY/KEDLI Public Statement Hearing - July 2023 Publication Cost Amounts for each Newspaper

Newspaper	Company	Cost
Anton Media	KEDLI	6,957.00
Newsday	KEDLI	11,088.00
Queens Chronicle	KEDLI	1,687.50
	Sub-Total	**19,732.50**
Newsday	KEDNY	11,088.00
Queens Chronicle	KEDNY	1,687.50
Staten Island Advance	KEDNY	3,297.52
NY Daily News	KEDNY	29,760.00
Schneps Media	KEDNY	9,200.00
	Sub-Total	**55,033.02**
	Total	**74,765.52**

Exhibit_____(RRP-3R)

Rebuttal

Earnings Report/Earnings Capitalization

for the Historic Test Year Ended December 31, 2022

Keyspan Gas East Corporation d/b/a National Grid
Regulatory Earnings Gas Compliance Filing (per Joint Proposal Rate Agreement in Cases 19-G-0309 and 19-G-0310)
For the Historic Test Year Ended December 31, 2022

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32	Tax Deduction for Interest Expense
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34	Accum. Deferred Income Taxes - Rate Base and Capitalization Adjustments

Keyspan Gas East Corporation d/b/a National Grid
Gas Earnings Review - Individual Years for Earnings Sharing
($000's)

	Individual Years	Earnings Year:	Three Year Gas Settlement Year 1 TME Dec 31, 2022	Year 2 TME Dec 31, 2023	Year 3 TME Dec 31, 2024
1	Rate Base		$ 3,912.8		
2					
3	Common Equity (Rate base * The imputed common equity ratio of 48%)		$ 1,878.1		
4					
5	ROE as filed in Earnings Reports to the PSC for each rate year		8.21%		
6	Subsequent minor revisions (see latest Earnings filing)		0.00%		
7	Actual ROE used in this filing		8.21%		
8					
9	Actual (calculated) Net Income for CE		$ 154.2		
10					
11	ROE Sharing threshold (per JP - Section 5.3)		9.50%		
12					
13					
14					
15	Earnings Sharing Calculation:				
16					
17					
18					
19			Year 1		
20		Earnings Sharing Report is due by	12/31/22		
21	Actual Net Income		$ 154.2		
22	Adjustment to exclude amounts previously in excess of Earnings threshold		$ -		
23	Adjusted Net Income		$ 154.2		
24	Common equity (after exclusion of Goodwill) at a 48% equity ratio - Stub Period				
25	Operating Revenues Ratio (Apr-Sep)				
26	Common equity (after exclusion of Goodwill) at a 48% equity ratio		$ 1,878.1		
27	Actual ROE (Net Income / Equity)		8.21%		
28	ROE Threshold (weighted avg)		9.50%		
29	Difference		-1.29%		
30	Actual Common Equity		$ 1,878.1		
31	After-tax Earnings Between Threshold and 10.0%		$ -		
32	After-tax Earnings Between 10.0% and 10.5%		$ -		
33	After-tax Earnings Over 10.5%		$ -		
34	Deferral of 50% of amount Between Threshold and 10.0%, for benefit of Customers		$ -		
35	Deferral of 75% of amount Between 10.0% and 10.5%, for benefit of Customers		$ -		
36	Deferral of 90% of amount Over 10.5%		$ -		
37	Total Deferral for benefit of Customers (after-tax $)		$ -		
38	Combined Federal & State Income Tax Rate		28.45%		
39	Deferral grossed up for income taxes (pre-tax $)		$ -		
40	Carrying costs		$ -		
41	Total Deferral Including Carrying Costs		$ -		
42	Cumulative Deferral		$ -		

	$ -	Customer deferral amount (pre-tax)
		Carrying Charges will be recorded in the community account

Line Notes

3	Actual ROE calculation will use an imputed common equity ratio of 48% as described in JP Section 5.1
5	Original ROE's in annual Gas earnings filings for respective periods
6	Impacts of ROE revisions shown in filing support (discovered after original filings)
7	Actual ROE used in the earnings sharing calculation
9	Line 7 x Line 3 (ROE x CE)
11	JP - Section 5.3
21	Appropriate years line 9
22	Adjustment to exclude amounts previously in excess of Earnings threshold (line 37 + Line 40)
23	Line 21 + Line 22
24	Common Equity Ratio for Stub Period
25	Operating Income Ratio for Stub Period (Apr-Sep)
26	Appropriate years line 3 (Line 24 * Line 25 for stub period)
27	Line 23 / Line 26
28	weighted average of line 11
29	line 27 - line 28
30	Appropriate years line 3 (Line 24 * Line 25 for stub period)
31	Line 27 Between Cap and 10.5% * Line 30
32	Line 27 Between 10.0% and 10.5% * Line 30
33	Line 27 Greater than 10.5% * Line 30
34	Line 31 * 50%
35	Line 32 * 75%
36	Line 33 * 90%
37	Line 34 + Line 35 + Line 36
38	Federal rate 21.0% and NYS 6.5%
39	Line 37 / (1- Line 38)
40	Carrying Costs at the Pre-Tax WACC on the Deferral Balance Net of Deferred Taxes

Keyspan Gas East Corporation d/b/a National Grid
Return on Equity Calculation / Capital Structure
For the Historic Test Year Ended December 31, 2022

1	Capital Structure (Total)						
2			($000's)				
3			Adjusted for CAP *	Weighting			Weighted
4		Reference	Avg Amount	Percent	Cost		Cost
5	Long Term Debt	page 13, line 1	$ 1,904,595	51.53%	3.88%		2.00%
6	Notes Payable	page 13, line 2	-	0.00%	0.00%		0.00%
7	Gas Supplier Refunds	page 13, line 3	220	0.01%	1.75%		0.00%
8	Customer Deposits	page 13, line 4	17,141	0.46%	0.00%		0.00%
9	Preferred Stock	page 13, line 5	0	0.00%	0.00%		0.00%
10	Common Equity	page 13, line 6	1,774,114	48.00%	8.21%		3.94%
11							
12	Total		$ 3,696,070	100.00%			5.94%
13							ROR (pg. 3 ln 43)
14							
15	Capital Structure (Electric)						
16	0% Allocation						
17			Allocated	Weighting			Weighted
18			Amount	Percent	Cost		Cost
19	Long Term Debt		$0	0.00%	0.00%		0.00%
20	Notes Payable		-	0.00%	0.00%		0.00%
21	Gas Supplier Refunds		-	0.00%	0.00%		0.00%
22	Customer Deposits		-	0.00%	0.00%		0.00%
23	Preferred Stock		-	0.00%	0.00%		0.00%
24	Common Equity		-	0.00%	0.00%		0.00%
25							
26	Total		$ -	0.00%			0.00%
27							ROR (pg. 3 ln 43)
28							
29	Capital Structure (Gas)						
30	100% Allocation						
31			Allocated	Weighting			Weighted
32			Amount	Percent	Cost		Cost
33	Long Term Debt		$ 1,904,595	51.53%	3.88%		2.00%
34	Notes Payable		-	0.00%	0.00%		0.00%
35	Gas Supplier Refunds		220	0.01%	1.75%		0.00%
36	Customer Deposits		17,141	0.46%	0.00%		0.00%
37	Preferred Stock		0	0.00%	0.00%		0.00%
38	Common Equity		1,774,114	48.00%	8.21%		3.94%
39							
40	Total		$ 3,696,070	100.00%			5.94%
41							ROR (pg. 3 ln 43)

Keyspan Gas East Corporation d/b/a National Grid
Income Statement per Books, and Adjusted (before interest)
For the Historic Test Year Ended December 31, 2022
($000's)

		Per Books			Adjustments			As Adjusted		
		Total	Electric	Gas	Total	Electric	Gas	Total	Electric	Gas
1	Operating Revenues									
2	Revenue	$ 1,667,191	$ -	$ 1,667,191	$ (15,110)	$ -	$ (15,110)	$ 1,652,081	$ -	$ 1,652,081
3	Operating Revenue Deductions									
4	Purchased Power Costs	-	-	0	-	0	0	0	0	0
5	Purchased Gas Costs	729,399	0	729,399	-	0	-	729,399	0	729,399
6	Revenue Taxes	17,433	-	17,433	-	0	0	17,433	0	17,433
7	Total Deductions	746,831	0	746,831	0	0	0	746,831	0	746,831
8										
9	Total Gross Margin	920,360	-	920,360	(15,110)	0	(15,110)	905,249	0	905,249
10										
11	Operating Expenses									
12	Departmental Expenses	250,281	-	250,281	0	0	0	250,281	0	250,281
13	Bad Debts	15,006	-	15,006	0	0	0	15,006	0	15,006
14	Clean Energy Fund & EES (SBC) & 18A	15,312	-	15,312	0	0	0	15,312	0	15,312
15	Nuclear Fuel Disp Liab Interest	0	-	0	0	0	0	0	0	0
16	Other	0	-	0	0	0	0	0	0	0
17	Total Operating Expense	280,599	0	280,599	0	0	0	280,599	0	280,599
18										
19	Depreciation	114,238	-	114,238	0	0	0	114,238	0	114,238
20	Amortization	14,168	-	14,168	0	0	0	14,168	0	14,168
21	Amortization other	0	-	0	0	0	0	0	0	0
22	(Gain) or Loss on Disposition of Facilities	2,643	-	2,643	0	0	0	2,643	0	2,643
23										
24	Property Taxes	197,455	-	197,455	(1,241)	0	(1,241)	196,214	0	196,214
25	Payroll Taxes	6,539	-	6,539	0	0	0	6,539	0	6,539
26	Other	6,347	-	6,347	0	0	0	6,347	0	6,347
27	Total Operating Revenue Deductions	621,988	0	621,988	(1,241)	0	(1,241)	620,747	0	620,747
28										
29	Net Operating Revenues	298,371	0	298,371	(13,870)	0	(13,870)	284,502	0	284,502
30	Other Income	0	0	0	0	0	0	0	0	0
31	Other adjustments	0	0	0	0	0	0	0	0	0
32										
33	Oper Income Before Interest & Income Taxes	$ 298,371	$ -	$ 298,371	$ (13,870)	$ -	$ (13,870)	$ 284,502	$ -	$ 284,502
34	Income Taxes									
35	Federal Income Tax					see pg 33		32,745	0	32,745
36	State Income Tax					see pg 33		19,292	0	19,292
37	Total Income Tax							52,038	0	52,038
38										
39	Oper Income After Income Taxes							$ 232,464	$ -	$ 232,464
40										
41							see pg			
42					Rate Base		9	$ 3,912,798	$ -	$ 3,912,798
43					Rate of Return (ROR)			5.94%	0.00%	5.94%
44										
45								Total	Electric	Gas
46					Return on Equity (ROE)			8.21%	0.00%	8.21%
47										

Keyspan Gas East Corporation d/b/a National Grid
Income Statement Adjustments
For the Historic Test Year Ended December 31, 2022

	By Inc Stmt line item	Adjustments to be Recognized ($000's) Electric	Gas
1	Operating Revenue Adjustments:		
2	To exclude Service Quality Penalties		$ -
3	To exclude prior year's Excess Earnings Adjustment		-
4	To exclude Gas Peak Reduction (GPR) EAM		(6,320)
5	To exclude Gas capacity incentive (gain) / loss		(9,039)
6	To exclude Gas Safety & Reliability Incentive Revenue		(3.585)
7	To exclude Termination & Bad Debt Incentive Revenue		-
8	To exclude Gas Safety Violation Penalties		252
9			
10			
11			
12			
13			
14	Total	$0	($15,110)
15			
16			
17	Operating Revenue Deductions Adjustments:		
18			-
19	Adjust Gas Cost Revenues to exclude LAUF incentive		$0
20	Total	$0	$0
21			
22	Departmental Expense Adjustments:		
23	To remove EmPower Replacement Program incentive		$0
24			$0
25	Total	$0	$0
26			
27	Non-Departmental Expense Adjustments:		
28	Remove 10% Shareholder portion of property Tax Expense (above) / below Cap		$ (1,241)
29	Remove Shareholder Owned Town of Hempstead Garbage Tax refund recorded in Op Exp		-
30			
31	Total	$0	($1,241)
32			
33	Other Income:		
34		$0	$0
35			
36			
37	Income BEFORE tax impact	$0	($13,870)
38			

Keyspan Gas East Corporation d/b/a National Grid
Support to Income Statement Adjustments
For the Historic Test Year Ended December 31, 2022

		($000's)	
		Electric	Gas
	Revenue in the P&L related to specific Sharing Incentives:		
1	a) Non-Core Gas Revenues and Gas Costs		
2	Remove Shareholder portion of Off System Sales	n/a	$ (9,039)
3	Remove 10% Shareholder portion of TC-IT Margins (above) / below Cap	n/a	-
4	Net Amount of shareholder impact as booked		($9,039)
5			

Keyspan Gas East Corporation d/b/a National Grid
Income Statement (before Earning Sharing Adj's and before Interest & Income Taxes)
For the Historic Test Year Ended December 31, 2022
($000's)

			Total	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22	Jul-22	Aug-22	Sep-22	Oct-22	Nov-22	Dec-22
ELECTRIC															
1	Operating Revenues - Electric														
2	Operating Revenue		$ -												
3	Purchased Power Expense		-												
4	GRT		-												
5	Electric Gross Margin		-	-	-	-	-	-	-	-	-	-	-	-	-
6															
7	Operating Expenses Electric														
8	O&M	Departmental Expenses	-												
9	Uncollectible Accounts		-												
10	Clean Energy Fund & EEPS		-												
11	Other		-												
12	Subtotal Operating Expense - Electric		-	-	-	-	-	-	-	-	-	-	-	-	-
13															
14	Depreciation		-												
15	Amortization		-												
16	Amortization - other		-												
17	(Gain) or Loss on Disposition of Facilities		-												
18															
19	Property Taxes		-												
20	Payroll Taxes		-												
21	Other Taxes		-												
22	Total Oper. Rev. Deductions - Electric		-	-	-	-	-	-	-	-	-	-	-	-	-
23															
24	Net Operating Income - Electric		$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
25															
26															
27				-											
28	Net Income Before Int & Taxes - Electric		$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
GAS															
29	Operating Revenues - Gas														
30	Operating Revenue		$ 1,667,191	240,123	207,253	167,316	130,525	95,994	82,446	87,663	94,517	88,240	95,801	141,707	235,606
31	Purchased Gas Expense		729,399	117,871	99,618	65,880	40,654	29,252	31,101	37,765	45,312	36,654	37,675	57,462	130,155
32	GRT		17,433	2,377	2,223	2,156	1,729	1,209	1,058	862	772	816	934	1,412	1,883
33	Gas Gross Margin		920,360	119,875	105,411	99,280	88,142	65,533	50,288	49,036	48,432	50,770	57,192	82,834	103,569
34															
35	Operating Expenses Gas														
36	O&M	Departmental Expenses	250,281	12,224	19,139	25,574	19,050	19,872	19,060	20,658	19,631	22,503	22,072	22,682	27,817
37	Uncollectible Accounts		15,006	4,831	1,526	1,522	1,530	446	857	1,024	1,006	25	(257)	417	2,080
38	Clean Energy Fund & EEPS		15,312	569	775	521	1,093	1,740	1,380	(477)	1,493	313	1,030	2,090	4,784
39	Other		-												
40	Subtotal Operating Expense - Gas		280,599	17,624	21,441	27,617	21,673	22,058	21,297	21,205	22,130	22,840	22,845	25,189	34,681
41															
42	Depreciation		114,238	8,810	8,818	8,878	9,587	9,524	9,608	9,762	9,797	9,713	9,855	9,912	9,975
43	Amortization		14,168	1,181	1,181	1,181	1,181	1,181	1,181	1,181	1,181	1,181	1,181	1,181	1,181
44	Amortization - other		-												
45	(Gain) or Loss on Dispostiion of Facilities		2,643	-	-	-	-	2,352	-	-	-	291	-	-	-
46															
47	Property Taxes		197,455	16,208	15,960	15,720	16,655	16,655	16,673	16,660	16,678	16,595	16,546	16,546	16,559
48	Payroll Taxes		6,539	627	727	435	552	549	567	518	547	934	535	510	37
49	Other Taxes		6,347	502	544	826	10	1,054	544	531	527	266	493	526	524
50	Total Oper. Rev. Deductions - Gas		621,988	44,952	48,671	54,656	49,657	53,372	49,869	49,856	50,860	51,820	51,454	53,864	62,957
51															
52	Net Operating Income - Gas		$ 298,371	$ 74,923	$ 56,740	$ 44,624	$ 38,485	$ 12,160	$ 418	$ (820)	$ (2,428)	$ (1,050)	$ 5,738	$ 28,970	$ 40,612
53															
54															
55															
56	Net Income Before Int & Taxes - Gas		$ 298,371	$ 74,923	$ 56,740	$ 44,624	$ 38,485	$ 12,160	$ 418	$ (820)	$ (2,428)	$ (1,050)	$ 5,738	$ 28,970	$ 40,612
57															
58	Net Income Before Int & Taxes - E &G		$ 298,371	$ 74,923	$ 56,740	$ 44,624	$ 38,485	$ 12,160	$ 418	$ (820)	$ (2,428)	$ (1,050)	$ 5,738	$ 28,970	$ 40,612

Keyspan Gas East Corporation d/b/a National Grid
Comparison of Average Historic Rate Base and Capitalization
For the Historic Test Year Ended December 31, 2022
($000's)

			Reference	TOTAL	ELECTRIC	GAS
1	(A)	AVERAGE RATE BASE - PER BOOKS	pg.9 ln 11	$ 3,726,273	$ -	$ 3,726,273
2	(B)	ADD: Average interest-bearing				
3		CWIP	pg.10 ln 15	180,554	-	180,554
4	(C)	TOTAL EARNINGS BASE (A+B)		$ 3,906,827	$ -	$ 3,906,827
5						
6		Percent		100.00%	0.00%	100.00%
7	(D)	AVERAGE CAPITALIZATION - PER BOOKS	(CE excludes merger Goodwill, and may be adj for TCI if required):			
8		Long Term Debt	pg.11 ln 18	$ 1,583,333		
9		Notes Payable	pg.11 ln 18	-		
10		Gas Supplier Refunds	pg.12 ln 17	183		
11		Customer Deposits	pg.12 ln 41	14,250		
12		Preferred Stock	pg.14 ln 17	-		
13		Common Equity (excludes merger GW; incl TCI adj)	pg.14 ln 46	2,098,304 [1]		
14						
15		Avg. Allocated to Elec / Gas based on Earnings Base		$ 3,696,070	$ -	$ 3,696,070
16	(E)	Add dividends declared but unpaid				
17		representing the timing difference				
18		between declaration and payment	pg.15 ln 17	-	-	-
19	(F)	SUBTOTAL (D+E)		$ 3,696,070	$ -	$ 3,696,070
20						
21		LESS Average Investments in:				
22		Detailed balance sheet accounts	pg.20 ln 209	$ (455,518)		
23		Accumulated Def Inc Tax Adjustment	pg. 34 ln 17 + 44	58,235		
24		Goodwill		n/a [1]		
25	(G)	Total Deductions		$ (397,282)	$ -	$ (397,282)
26						
27	(H)	Capitalization Dedicated to Public				
28		Service (F-G)		$ 4,093,352	$ -	$ 4,093,352
29	(J)	Excess Earnings Base (Total Earnings Base)				
30		less Average Capitalization Devoted to				
31		Service Current Customers) (C-H)		$ (186,525)	$ -	$ (186,525)
32						
33		[1] Goodwill related to the NM merger with National Grid is excluded from the equity component of capitalization,				
34						

Keyspan Gas East Corporation d/b/a National Grid
Rate Base Summary
For the Historic Test Year Ended December 31, 2022
($000's)

		Reference	Total	Electric	Gas
1	Net Utility Plant	pg. 21 ln 15	$ 4,557,085	$ -	$ 4,557,085
2					
3	Regulatory Assets / Liabilities	pg. 27 ln 7	62,660	-	62,660
4					
5	Accumulated Deferred Income Taxes - Federal	pg. 34 ln 17	(900,022)	-	(900,022)
6					
7	Accumulated Deferred Income Taxes - State	pg. 34 ln 44	(202,099)	-	(202,099)
8					
9	Working Capital	pg. 28 ln 12	208,649	-	208,649
10					
11	Subtotal avg. before EBCAP adj.		$ 3,726,273	$ -	$ 3,726,273
12					
13	Excess Earnings Base	pg. 8 ln 31	186,525	-	186,525
14					
15	Total Rate Base		$ 3,912,798	$ -	$ 3,912,798

Keyspan Gas East Corporation d/b/a National Grid
Adjustment to Earnings Base - Interest Bearing CWIP
For the Historic Test Year Ended December 31, 2022

		($000's) Total	Electric	Gas
1	Total avg. CWIP (see below)	$ 234,903	$ -	$ 234,903
2				
3	PS&I	-	-	-
4		234,903	-	234,903
5				
6	Less:			
7	Orders without Allowance (see below)	(54,349)	-	(54,349)
8	CWIP included in Rate Base	-	-	-
9				
10	Avg. Interest Bearing CWIP	180,554	-	180,554
11				
12	Plus:			
13		-	-	-
14				
15	Average Interest Bearing CWIP	$ 180,554	$ -	$ 180,554
16				
17				
18				
19				
20				

(Whole $)

		Total CWIP			Orders without Allowance		
	Elec	Gas	Common	Elec	Gas	Common
Reg Account #s:		107000 & 107135				
Plant Account #s:	101.02	102.12	103.22			
Dec-21		239,490,650			34,409,675	
Jan-22		248,505,434			30,912,587	
Feb-22		246,019,559			26,188,823	
Mar-22		276,450,711			40,883,050	
Apr-22		224,746,523			45,002,672	
May-22		239,018,741			57,110,091	
Jun-22		236,539,127			49,470,890	
Jul-22		238,868,998			49,400,504	
Aug-22		251,077,769			46,092,067	
Sep-22		255,997,818			133,077,438	
Oct-22		190,274,630			58,409,848	
Nov-22		205,406,881			70,164,551	
Dec-22		172,370,973			56,533,524	
12 month average	$ -	$234,903,084	$ -	$ -	$ 54,348,677	$ -
Alloc of Common	$ -	$ -	$ -	$ -	$ -	$ -
Total	$ -	$234,903,084	$ -	$ -	$ 54,348,677	$ -

Keyspan Gas East Corporation d/b/a National Grid
Long Term Debt and Notes Payable
For the Historic Test Year Ended December 31, 2022

		Long Term Debt (LTD) (Whole $)							Notes Payable (NP) (Whole $)							
		Total LTD	Less Nuc Fuel Disp	Less Unreg Gen	Adjusted LTD Balances	Mthly Avg LTD Int Rate	Weighted Avg LTD Int Rate		BlueBook pg 22 or Acctg Nat Grid USA Svc Co. (MP) Notes Payable	Int Rate	Acctg NM Holdings Notes Payable	Int Rate	Total N/P Balance	Avg N/P Int Rate	Weighted Avg N/P Int Rate	
1	Dec-21	$ 1,200,000,000	-	-	$ 1,200,000,000	*4.12%*	*0.13%*	(1/2 month)	$0	*0.00%*	-	*0.00%*	-		*0.00%*	(1/2 month)
2	Jan-22	1,600,000,000	-	-	1,600,000,000	*3.38%*	*0.28%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
3	Feb-22	1,600,000,000	-	-	1,600,000,000	*3.49%*	*0.29%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
4	Mar-22	1,600,000,000	-	-	1,600,000,000	*4.27%*	*0.36%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
5	Apr-22	1,600,000,000	-	-	1,600,000,000	*3.75%*	*0.32%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
6	May-22	1,600,000,000	-	-	1,600,000,000	*4.01%*	*0.34%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
7	Jun-22	1,600,000,000	-	-	1,600,000,000	*3.75%*	*0.32%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
8	Jul-22	1,600,000,000	-	-	1,600,000,000	*4.01%*	*0.34%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
9	Aug-22	1,600,000,000	-	-	1,600,000,000	*3.89%*	*0.33%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
10	Sep-22	1,600,000,000	-	-	1,600,000,000	*3.89%*	*0.33%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
11	Oct-22	1,600,000,000	-	-	1,600,000,000	*4.36%*	*0.37%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
12	Nov-22	1,600,000,000	-	-	1,600,000,000	*3.89%*	*0.33%*		$0	*0.00%*	-	*0.00%*	-		*0.00%*	
13	Dec-22	1,600,000,000	-	-	1,600,000,000	*3.41%*	*0.14%*	(1/2 month)	$0	*0.00%*	-	*0.00%*	-		*0.00%*	(1/2 month)
14																
15	Total (Dec @ 1/2)	$ 19,000,000,000	$ -	$ -	$ 19,000,000,000				$ -		$ -		$ -			
16																
17	Divided by 12 =	$ 1,583,333,333	$ -	$ -	$ 1,583,333,333				$ -		$ -		$ -			
18				Rounded ($000's)=	$ 1,583,333		*3.88000%*	12 month %			Rounded ($000's)=		$ -		*0.00%*	12 month %
19																
20																

Calculation of LTD Interest Expense (Whole $)

		Total Int Exp (excl AFUDC #432)	Act# 431xxx Less Other Int Exp	Act# 4300020 Less Money Pool N/P STD Int Exp	Act # 4300060 Less N/P NMH N/P STD Int Exp	Add: Int Exp	Adjusted LTD Int Exp
24	Dec-21	$ 4,158,219	$ 34,471	$ -	$ -	$ -	$ 4,123,748
25	Jan-22	4,542,061	39,670	0	0	0	4,502,391
26	Feb-22	4,697,475	38,797	0	0	0	4,658,678
27	Mar-22	5,741,358	45,484	0	0	0	5,695,874
28	Apr-22	5,045,436	42,580	0	0	0	5,002,856
29	May-22	5,393,397	43,999	0	0	0	5,349,398
30	Jun-22	5,045,436	42,579	0	0	0	5,002,857
31	Jul-22	5,393,397	43,999	0	0	0	5,349,398
32	Aug-22	5,219,417	38,479	0	0	0	5,180,937
33	Sep-22	5,219,417	37,209	0	0	0	5,182,207
34	Oct-22	5,855,654	38,661	0	0	0	5,816,993
35	Nov-22	4,583,179	(598,824)	0	0	0	5,182,003
36	Dec-22	5,219,417	674,898	0	0	0	4,544,519
37							
38	Total Int Exp	$ 66,113,864	$ 522,002	$ -	$ -	$ -	65,591,862

Keyspan Gas East Corporation d/b/a National Grid
Gas Supplier Refunds and Customer Deposits
For the Historic Test Year Ended December 31, 2022

	Gas Supplier Refunds	(Whole $) Gas Refunds Bal	Issued by PSC Oth Cust Cap Avg Rate	Weighted Avg Rate	
1	Dec-21	$ 232,743	1.75%	0.07%	(1/2 month)
2	Jan-22	234,125	1.75%	0.15%	
3	Feb-22	232,576	1.75%	0.15%	
4	Mar-22	234,868	1.75%	0.15%	
5	Apr-22	181,880	1.75%	0.15%	
6	May-22	125,373	1.75%	0.15%	
7	Jun-22	125,373	1.75%	0.15%	
8	Jul-22	135,373	1.75%	0.15%	
9	Aug-22	125,373	1.75%	0.15%	
10	Sep-22	125,373	1.75%	0.15%	
11	Oct-22	184,689	1.75%	0.15%	
12	Nov-22	246,648	1.75%	0.15%	
13	Dec-22	248,612	1.75%	0.07%	(1/2 month)
14					
15	12 Month Total (Dec @ 1/2)	$ 2,192,329			
16			($000's)		
17	12 Month Avg Bal.	$ 182,694	$ 183	*1.75%*	12 month %
18					
19					
20					

	Customer Deposits	(Whole $) Deposit Bal	Issued by PSC Cust Deposit Avg Rate	Weighted Avg Rate	
21					
22					
23					
24					
25	Dec-21	$ 14,857,706	0.00%	0.00%	(1/2 month)
26	Jan-22	14,713,943	0.00%	0.00%	
27	Feb-22	14,659,000	0.00%	0.00%	
28	Mar-22	14,570,139	0.00%	0.00%	
29	Apr-22	14,422,424	0.00%	0.00%	
30	May-22	14,283,502	0.00%	0.00%	
31	Jun-22	14,208,537	0.00%	0.00%	
32	Jul-22	14,048,501	0.00%	0.00%	
33	Aug-22	13,991,738	0.00%	0.00%	
34	Sep-22	13,894,300	0.00%	0.00%	
35	Oct-22	13,902,269	0.00%	0.00%	
36	Nov-22	13,919,008	0.00%	0.00%	
37	Dec-22	13,912,237	0.00%	0.00%	(1/2 month)
38					
39	12 Month Total (Dec @ 1/2)	$ 170,998,333			
40			($000's)		
41	12 Month Avg Bal.	$ 14,249,861	$ 14,250	*0.00%*	12 month %

Keyspan Gas East Corporation d/b/a National Grid
Capital Structure After Common Equity Adjustments
For the Historic Test Year Ended December 31, 2022

Excess Equity % of Total Capitalization - A Reduction to Common Equity
($000's)

Capital Structure

		PER BOOKS (excl GW) Before CAP adj Avg Amount	non-equity % to Total	Required Adjustment (1)	Adjusted for CAP * Avg Capital Excl Funding	Unadjusted Capitalization %	Adjusted Capitalization %
1	Long Term Debt	$ 1,583,333	99.1%	$ 321,262	$ 1,904,595	42.8%	51.5%
2	Notes Payable	-	0.0%	-	-	0.0%	0.0%
3	Gas Supplier Refunds	183	0.0%	37	220	0.0%	0.0%
4	Customer Deposits	14,250	0.9%	2,891	17,141	0.4%	0.5%
5	Preferred Stock	-	0.0%	0	0	0.0%	0.0%
6	Common Equity (EXCLUDES GW)	2,098,304		(324,190)	1,774,114	56.8%	48.0%
7			100.0%				
8	Total Capitalization	$ 3,696,070		$ -	$ 3,696,070		
9							
10	Equity % of total capitalization	56.8%			48.0%		
11							
12	% Over (Under) Adjusted Equity Cap	8.8%					
13							
14	Note: * For both Electric and Gas filing components of book capital have been adjusted based on % to total, to comply with Equity Cap set forth in JP						

Keyspan Gas East Corporation d/b/a National Grid
Preferred Stock and Common Equity - per books
For the Historic Test Year Ended December 31, 2022

	Preferred Stock		(Whole $) New Balance	Bluebook pg 21 or NY Acctg Avg Dividend Rate	Weighted Avg	
1	Dec-21		$ 1	*0.00%*	*0.000%*	(1/2 month)
2	Jan-22		$ 1	*0.00%*	*0.000%*	
3	Feb-22		$ 1	*0.00%*	*0.000%*	
4	Mar-22		$ 1	*0.00%*	*0.000%*	
5	Apr-22		$ 1	*0.00%*	*0.000%*	
6	May-22		$ 1	*0.00%*	*0.000%*	
7	Jun-22		$ 1	*0.00%*	*0.000%*	
8	Jul-22		$ 1	*0.00%*	*0.000%*	
9	Aug-22		$ 1	*0.00%*	*0.000%*	
10	Sep-22		$ 1	*0.00%*	*0.000%*	
11	Oct-22		$ 1	*0.00%*	*0.000%*	
12	Nov-22		$ 1	*0.00%*	*0.000%*	
13	Dec-22		$ 1	*0.00%*	*0.000%*	(1/2 month)
14						
15	12 Mo Tot (Dec @ 1/2)		$ 12			
16	12 Month Avg Bal.	(Whole $) =	$ 1			
17	Rounded Avg	($000's) =	$ -		0.00%	12 month %
18						
19						
20						
21						
22						
23						
24						
25						

	Common Equity	Par Value & Premium Common Stock	Paid in Surplus	Retained Earnings	Unapp / Undis Sub Earnings	Per Books (Whole $) Total	REMOVAL OF GW PD IN SURP	REVISED TOTAL
26								
27								
28								
29								
30								
31	Dec-21	$ 582,861,727	$ 1,314,622,174	$ 835,681,565	$ -	$ 2,733,165,466	(1,018,407,559)	$ 1,714,757,907
32	Jan-22	582,861,727	1,314,622,174	881,270,991	-	2,778,754,891	(1,018,407,559)	1,760,347,332
33	Feb-22	582,861,727	1,614,622,174	915,998,415	-	3,113,482,316	(1,018,407,559)	2,095,074,756
34	Mar-22	582,861,727	1,614,622,174	941,469,283	-	3,138,953,184	(1,018,407,559)	2,120,545,625
35	Apr-22	582,861,727	1,614,622,174	975,487,184	-	3,172,971,085	(1,018,407,559)	2,154,563,526
36	May-22	582,861,727	1,614,622,174	971,578,147	-	3,169,062,047	(1,018,407,559)	2,150,654,488
37	Jun-22	582,861,727	1,614,622,174	981,053,589	-	3,178,537,490	(1,018,407,559)	2,160,129,931
38	Jul-22	582,861,727	1,614,622,174	978,605,381	-	3,176,089,282	(1,018,407,559)	2,157,681,722
39	Aug-22	582,861,727	1,614,622,174	974,740,743	-	3,172,224,644	(1,018,407,559)	2,153,817,085
40	Sep-22	582,861,727	1,614,622,174	971,781,407	-	3,169,265,307	(1,018,407,559)	2,150,857,748
41	Oct-22	582,861,727	1,614,622,174	972,178,565	-	3,169,662,466	(1,018,407,559)	2,151,254,907
42	Nov-22	582,861,727	1,614,622,174	989,111,121	-	3,186,595,022	(1,018,407,559)	2,168,187,463
43	Dec-22	582,861,727	1,614,622,174	1,019,221,710	-	3,216,705,611	(1,018,407,559)	2,198,298,052
44								
45	12 Mo Tot (Dec @ 1/2)	$ 6,994,340,718	$ 18,925,466,089	$ 11,480,726,465	$ -	$ 37,400,533,272	$ (12,220,890,710)	$ 25,179,642,562
46	12 Month Avg Bal.	$ 582,861,727	$ 1,577,122,174	$ 956,727,205	$ -	$ 3,116,711,106	$ (1,018,407,559)	$ 2,098,303,547

Keyspan Gas East Corporation d/b/a National Grid
Timing Difference between Dividends Recorded vs. Paid
For the Historic Test Year Ended December 31, 2022

Preferred Dividends

	Month Declared (1)		($ Whole) Amount (2)	Date Recorded (3)	Date Paid (4)	Number of Days Between Date Recorded and Payment (5)	Number of Units (col 2 x 5) (6)
1		(Pref)				0	-
2							
3		(Pref)				0	-
4							
5		(Pref)				0	-
6							
7		(Pref)				0	-
8							
9							
10			$ -			0	$ -
11							
12					Weighted Average Days		0.0
13							
14							

15	COMPUTATION OF AMOUNT REPRESENTED BY TIMING DIFFERENCE							
16						(Whole $)		($000's)
17	0.0	DAYS / 365 DAYS x	$ -	=	$ -	=	$	-
18								

Keyspan Gas East Corporation d/b/a National Grid
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

	General Ledger Account	Description	13 Mos Ended December 2022 Average Balance
1	C1011005	PM-ARO-101-BegBal	$ 4,801.64
2	C1011015	LB-ARO-101-BegBal	6,162
3	C1081005	AD-PM-ARO-BegBal	(3,140)
4	C1082005	AD-PM-ARO-Chrg Pd	(151)
5	C1211010	LB-121 NUP Beg	1,253
6	C1221010	AD-121-LB-BegBal	(26)
7	C1222010	AD-121-LB-Chg Pd(PP)	(1)
8	C1280000	Postretirement benefits asset-Reclass	4,768
9	C1310000	Depo 1-Cash	2,452
10	C1310040	Depo 1-Out Misc	12
11	C1310060	Depo 1-In LBX/Ck	26
12	C1310070	Depo 1-In Oth Srce	3,879
13	C1310080	Depo 1-In Wire	(2,817)
14	C1310090	Depo 1-In Misc	8
15	C1315000	Marg Coll-Cash	1
16	C1319999	Cash Default account	2,798
17	C1450000	Moneypool Receivable	5,741
18	C1460000	IC Recon Acct	89,473
19	C1460001	AR Assoc Co-Adj	(74,334)
20	C1460010	IC AR Recon Acct	108
21	C1461031	AR from PPL	(2)
22	C1750R03	Derivative instrument Assets (175)	16
23	C1751000	Long-Term Portion of Derivative Instrument Assets	(16)
24	C1823158	FAS158-Pension	(7,670)
25	C1823159	FAS158-OPEB	9,160
26	C2283R02	Pension-Benefits Reserve	0
27	C2301011	ARO Lia-Beg Bal	(19,875)
28	C2302012	ARO Liab-Recl to Cur	5
29	C2303011	ARO Lia-Utilization	10
30	C2303511	ARO Liab-Unwd Dis	(452)
31	C2330000	Moneypool Payable	(114,922)
32	C2340000	AP Associate Cos	(100,022)
33	C2340001	AP Assoc Cos - Adj	734
34	C2340010	AP Associate Cos	(186)
35	C2423120	ARO Liab-BB-Cur	(655)
36	C2423140	ARO Liab-Cur	(5)
37	C2423420	HW Prov-Beg Bal-Cur	(9,370)
38	C2423440	HW Prov-Cur	2,116
39	C2440R03	Deriv Liab S/T Gas	(128)
40	C2442000	Long-Term Portion of Derivative Instrument Liabiliti	128
41	C2530270	Pens Costs-Prov	3,862
42	C2530390	Def CR-AP Invoices	(7,561)
43	C2531008	PRHealth Prov-BB	15,997
44	C2531027	Pension Prov-Beg Bal	60,258

Keyspan Gas East Corporation d/b/a National Grid
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

	General Ledger Account	Description	13 Mos Ended December 2022 Average Balance
45	C2531060	PRHealth Prov-Contri	210
46	C2531120	FAS112-Beg Bal	(2,942)
47	C2532006	HW Prov-Recl to Cur	(2,116)
48	C2532008	PRHealth Prov-Curren	(266)
49	C2532009	FAS 112-Current Serv	107
50	C2532027	Pension Prov-Current	(498)
51	C2534710	Int Accr-LT-FedFIN48	(1,033)
52	C2534720	Int Accr-LT-St FIN48	(10)
53	C2534810	FIN48 FIT -Timing Is	(35,365)
54	C2534820	FIN48 SIT -Timing Is	(15,290)
55	C2534830	FIN48 FIT-Permanent	(1,485)
56	C2534840	FIN48 SIT-Permanent	(452)
57	C2534850	FIN48 FIT-NOL	7,721
58	C2534860	FIN48 SIT-NOL	15,703
59	C2538008	PRHealth Prv-Oth Mvt	(3,967)
60	C2539410	Hazwaste Prov-Beg Ba	(27,964)
61	C25400TS	Reserve for Over Returned Rate Refund - Garbage Ta	(49,600)
62	U1011050	Lease ROUA-BB-LB	386
63	U1011060	Lease ROUA-BB-PM	891
64	U1012050	Lease ROUA-Add-LB	520
65	U1013050	Lease ROUA-Dis-LB	(177)
66	U1080001	RWIP Reclass	(45,325)
67	U1081050	Lease ROUAD-BB-LB	(312)
68	U1081060	Lease ROUAD-BB-PM	(478)
69	U1081434	AD-COR-FAS143	0
70	U1081435	AD-COR-FAS143 Debit	45,325
71	U1082050	Lease ROUAD-Add-LB	(57)
72	U1082060	Lease ROUAD-Add-PM	(34)
73	U1083050	Lease ROUAD-Dis-LB	177
74	U1460000	IC Recon Acct	$ 1,199
75	U1460990	Accts receivable from affil-Reclass	(130)
76	U1750090	Deriv Asset S/T Gas	48,342
77	U1752993	Derivative L/T Gas	625
78	U1823016	Def Pension/FAS 106	(56,124)
79	U1823043	Asset Ret Obligation	15,103
80	U1823059	MTA Gross Income	363
81	U1823064	MGP Ins Cost Recovry	53,596
82	U1823067	Int on Def Reg Asset	17,202
83	U1823068	Def Prop Tax Post 07	28,737
84	U1823070	Gas Futures-Supply	35,265
85	U1823075	Temp St Assmnt 18-A	1,703
86	U1823158	FAS158-Pension	8,558
87	U1823159	FAS158-OPEB	(91,111)
88	U1823194	MFC-Merch Func Charg	161

Keyspan Gas East Corporation d/b/a National Grid
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

	General Ledger Account	Description	13 Mos Ended December 2022 Average Balance
89	U1823195	RDM Rev Decoupling	2,461
90	U1823253	Pension Exp Deferred	58,308
91	U1823295	Arrears Ph1-Gas	1,217
92	U1823331	GSRS Surcharge/Refun	2,919
93	U1823333	Interest Enrgy Affrd	89
94	U1823334	NY Fac Syst Surch cr	39
95	U1823336	LT Capacity Projects	4,199
96	U1823341	CC Non Firm Dmd	40
97	U1823353	LPC Deferral	8,660
98	U1823358	NYS Tax Deferral	4,980
99	U1823382	CSC Capital Tracker	792
100	U1823383	Customer Connections	3,676
101	U1823384	NUPD Capital Tracker	(320)
102	U1823385	NonFirm Demand Resp	1,037
103	U1823401	Energy Eff DCSM	1,239
104	U1823407	DROM Deferral	0
105	U1823666	Earnings Adj Mech-Ga	4,463
106	U1823702	Exogenous Event Defe	13,468
107	U1823729	MFC - Imbalance	271
108	U1823735	Interest MFC Imb Sur	3
109	U1823738	Elec Generat Rev Def	3,256
110	U1823744	SIR Def 16-G-0058/00	44,077
111	U1823754	SIR Exp Def Post 16	2,272
112	U1823767	SIRDeferral-CarryChg	12,507
113	U1823778	Energy Affordability	1,536
114	U1823779	Brooklyn Navy Yard	361
115	U1823791	NYF Interest	2
116	U1823795	GAC Presentation	(2,266)
117	U1823992	Regulatory assets - pension-Reclass	5,827
118	U1860612	Def Dr-Misc	9
119	U1860991	Postretirement benefits asset-Reclass	-
120	U2271010	Lease NonCurLiab-BB	(247)
121	U2272010	Lease NonCurLiab-Add	(508)
122	U2273010	Lease NonCurLiab-Dis	(0)
123	U2277010	Lease NonCurLiab-Rec	48
124	U2284490	Haz-Waste Provision	1
125	U2284990	Env Remediation-Recl	(46,981)
126	U2330991	Intercompany moneypool-Reclass	16
127	U2340000	A/P Assoc Comp	(1,728)
128	U2340990	Accounts Payable to affiliates-Reclass	122
129	U2431010	Lease Curr Liab-BB	(240)
130	U2432010	Lease Curr Liab-Add	(12)
131	U2433010	Lease Curr Liab-Dis	99
132	U2433510	Lease Curr Liab-Unwd	(12)

Keyspan Gas East Corporation d/b/a National Grid
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

	General Ledger Account	Description	13 Mos Ended December 2022 Average Balance
133	U2437010	Lease Curr Liab-Rec	(48)
134	U2440070	Deriv Liab S/T Gas	(11,776)
135	U2441060	Deriv Liab L/T Gas	(31,367)
136	U2530485	Carrying Chgs-PRAs	(400)
137	U2530486	Reg Asset-PRAs	(5,516)
138	U2530942	Hazwaste Prov-chrg	(37)
139	U2530997	Post Retirement benefits reserves-Recla	(4,768)
140	U2531008	PRHealth Prov-BB	85,775
141	U2531027	Pension Prov-BB	(61,198)
142	U2531031	NQ Pension Prov-Beg	$ (24)
143	U2535300	Cap Tracker-Equity	(534)
144	U2535310	Environ SIR-Equity	(23,646)
145	U2535320	Carrying Chg-Equity	(19,192)
146	U2535350	Property Tax-Equity	(10,059)
147	U2536306	PRHealth Prov-Gains	2,444
148	U2536327	PensProv-Gain Liab	795
149	U2538031	NQ Pension Prov-Oth	24
150	U2539410	Hazwaste Prov-BegBal	(19,017)
151	U2539440	Hazwaste Prov-Util	2,157
152	U2539490	Haz-Waste Provision	46,981
153	U2540008	Interest Deferd GAC	(52)
154	U2540009	Int Pipeline Refund	(1)
155	U2540010	Int Deferred TAC	(6)
156	U2540012	Revenue Decoupling	(4,295)
157	U2540051	Pipeline Refunds	(271)
158	U2540052	Marketer Pen Ref	(165)
159	U2540053	GAC Imbalance Refund	(2,042)
160	U2540076	TAC Imbalance Refund	(456)
161	U2540107	Exc ResvTax Gas	(32,255)
162	U2540119	Platform Svc Rev Gas	(214)
163	U2540160	EE Surcharge-Gas	(2,386)
164	U2540194	Merchant Func Chrg	(33)
165	U2540196	RDM Unbilled	(35,716)
166	U2540204	AAndG Deferral	(11,370)
167	U2540205	Int on Deferred Item	(24,692)
168	U2540216	OPEBLiabPost05/28/98	(29)
169	U2540217	Env Recoveries	(42,945)
170	U2540225	Prop Tax Refunds	(4,452)
171	U2540274	Low Income Program	(4,949)
172	U2540280	Int SBC Costs Def	(971)
173	U2540281	OffSys Sales-Profit	(10,768)
174	U2540289	Int Low Inc Subsidy	(3,672)
175	U2540290	Def TC Penalty Chg	(64)
176	U2540327	Low Income Prg 0058/	(663)

Keyspan Gas East Corporation d/b/a National Grid
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

	General Ledger Account	Description	13 Mos Ended December 2022 Average Balance
177	U2540334	NY Fac Sys Surch cr	(1,018)
178	U2540342	NE:NY-LMI Gas	(1,946)
179	U2540343	NE:NY-EE Gas	(10,683)
180	U2540344	NYSERDA EEPS Gas	(796)
181	U2540345	INT NYSERDA EEPS Gas	(20)
182	U2540348	HEAT Program	(2,011)
183	U2540359	ServiceLine Deferral	(1,138)
184	U2540371	ETIP Cumulative Gas	(1,430)
185	U2540384	NUPD Capital Tracker	(3,574)
186	U2540401	Energy Eff DCSM	89
187	U2540402	Demand Response DCSM	(177)
188	U2540409	MW Merchant Func Adj	(643)
189	U2540553	Gas Millennium Fund	(584)
190	U2540560	Int Reserve CarryChg	(76,742)
191	U2540569	Gas Futures-Gas Sply	(41,088)
192	U2540584	OPEB Exp Defrd-El	15,336
193	U2540605	Misc Penalties	(14,599)
194	U2540617	Def Nvy Yrd Gas Rev	(527)
195	U2540724	RatePlan DefCred Gas	(3,177)
196	U2540731	Sys Perf Adj (SPA)	(150)
197	U2540736	CEF Def-Gas	(1,539)
198	U2540738	Elec Generat Rev Def	(36)
199	U2540746	Levelization Rate De	(7,318)
200	U2540749	Econ Dev 16-G-0058/0	(6,480)
201	U2540750	RDM Interest	(463)
202	U2540752	EE Interest	(627)
203	U2540773	Excess Earn	(3,920)
204	U2540780	Clean Energy Fund Ga	(71)
205	U2540783	15-G-0298 Water Mill	(9)
206	U2540791	NYF Interest	(13)
207	U2540795	GAC Presentation	2,266
208	U2540993	RegulatoryLiabs - pension-Reclass	(5,827)
209	Grand Total		(455,517.57)

Keyspan Gas East Corporation d/b/a National Grid
Summary of Net Utility Plant
For the Historic Test Year Ended December 31, 2022
($000's)

	Description	Reference	Average Monthly Balance Per Books Total	Electric	Gas
1	Gross Utility Plant	pg. 22 ln 22	$ 5,483,164	$ -	$ 5,483,164
2					
3	Non-Interest Bearing CWIP	pg. 23 ln 51	$ 54,349	-	54,349
4					
5	Total Utility Plant		$ 5,537,513	-	5,537,513
6					
7					
8	Accum. Depreciation Reserve	pg. 24 ln 24	$ (982,367)	-	(982,367)
9					
10	Retirement WIP	pg. 25 ln 52	$ 1,939	-	1,939
11					
12	Net Accumulated Provision for				
13	Depreciation		$ (980,427)	-	(980,427)
14					
15	Total Net Utility Plant		$ 4,557,085	$ -	$ 4,557,085

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Gross Utility Plant
For the Historic Test Year Ended December 31, 2022
($000's)

	Balance at Month End		Electric Plant in Service (1)	Gas Plant in Service	Common Plant in Service
1	Dec-21	(1/2 month)		$ 2,632,686	
2	Jan-22			5,296,450	
3	Feb-22			5,328,897	
4	Mar-22			5,353,819	
5	Apr-22			5,429,792	
6	May-22			5,453,322	
7	Jun-22			5,478,990	
8	Jul-22			5,497,664	
9	Aug-22			5,530,588	
10	Sep-22			5,561,895	
11	Oct-22			5,665,989	
12	Nov-22			5,691,006	
13	Dec-22	(1/2 month)		2,876,865	
14					
15	Total		-	65,797,964	-
16					
17					
18	Allocation of Common (1)		-	-	-
19					
20	Total		-	65,797,964	-
21					
22	Average (12) Monthly Balance		$ -	$ 5,483,164	$ -
23					
24					
25					
26	(1) Electric - 0.0%				
27	Gas - 100.0%				
28					

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Non-Interest Bearing CWIP
For the Historic Test Year Ended December 31, 2022
($000's)

	Balance at Month End		Electric (1)	Gas	Common
29	Dec-21	(1/2 month)		$ 17,205	
30	Jan-22			30,913	
31	Feb-22			26,189	
32	Mar-22			40,883	
33	Apr-22			45,003	
34	May-22			57,110	
35	Jun-22			49,471	
36	Jul-22			49,401	
37	Aug-22			46,092	
38	Sep-22			133,077	
39	Oct-22			58,410	
40	Nov-22			70,165	
41	Dec-22	(1/2 month)		28,267	
42					
43	Total (including PSI)		-	652,184	-
44					
45	Allocation of Common (1)		-	-	-
46					
47					
48	Total (including PSI)		-	652,184	-
49					
50					
51	Average (12) Monthly Balances		$ -	$ 54,349	$ -
52					
53					
54					
55	(1) Electric - 0.0%				
56	Gas - 100.0%				
57					

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Depreciation Reserve
For the Historic Test Year Ended December 31, 2022
($000's)

	Balance at Month End		Electric Plant in Service (1)	Gas Plant in Service	Common Plant in Service
1	Dec-21	(1/2 month)		$ 477,828	
2	Jan-22			962,739	
3	Feb-22			969,875	
4	Mar-22			969,701	
5	Apr-22			971,856	
6	May-22			977,684	
7	Jun-22			980,871	
8	Jul-22			984,612	
9	Aug-22			990,418	
10	Sep-22			995,575	
11	Oct-22			998,956	
12	Nov-22			1,002,965	
13	Dec-22	(1/2 month)		505,323	
14					
15	Total		-	11,788,402	-
16					
17					
18					
19	Allocation of Common (1)		-	-	-
20					
21	Total		-	11,788,402	-
22					
23					
24	Average (12) Monthly Balance		$ -	$ 982,367	$ -
25					
26					
27					
28	(1) Electric - 0.0%				
29	Gas - 100.0%				
30					

Keyspan Gas East Corporation d/b/a National Grid
Monthly Balances of Retirement Work in Progress
For the Historic Test Year Ended December 31, 2022
($000's)

	Balance at Month End		Electric (1)	Gas	Common
31	Dec-21	(1/2 month)		$ 668	
32	Jan-22			1,296	
33	Feb-22			644	
34	Mar-22			3,379	
35	Apr-22			2,878	
36	May-22			3,386	
37	Jun-22			2,332	
38	Jul-22			2,231	
39	Aug-22			1,746	
40	Sep-22			336	
41	Oct-22			1,234	
42	Nov-22			2,270	
43	Dec-22	(1/2 month)		873	
44					
45	Total		-	23,274	-
46					
47	Allocation of Common (1)		-	-	-
48					
49	Total		-	23,274	-
50					
51					
52	Average (12) Monthly Balance		$ -	$ 1,939	$ -
53					
54					
55	(1) Electric - 0.0%				
56	Gas - 100.0%				
57					

Date	SAP: Utility Plant	Less: Non Utility Plant	Less: ARO Assets	Less U101 Lease Accounts	Less: Excluded Capital Projects	NUP Assets	SAP: CWIP	Less: IB CWIP	Less: Excludable IB Projects	Less: Excludable NIB Projects	NUP CWIP	SAP: Accum Depr	Less: Non Utility Plant	Less: ARO Accum Depr	Plus: RWIP	Less: U108 Lease Accounts	Less: Excluded Capital Projects	NUP Accum Depr	Total NUP	Increase / (Decrease)	NUP Accum Depr net of RWIP
12/31/2021	5,349,749,517	1,252,521	10,963,833	1,277,167	70,883,735	5,265,372,261	239,490,650	202,914,353	1,841,612	325,010	34,409,675	(963,103,919)	(25,974)	(3,173,148)	1,336,926	(661,783)	(1,588,470)	(956,317,617)	4,343,464,318	23,177,925	$ (955,655,834)
1/31/2022	5,381,082,818	1,252,521	10,963,833	1,277,167	71,139,076	5,296,450,220	248,505,434	215,286,428	1,855,878	450,541	30,912,587	(970,556,704)	(26,066)	(3,189,505)	1,295,986	(763,847)	(1,778,360)	(963,502,939)	4,363,859,867	20,395,549	$ (962,739,093)
2/28/2022	5,413,974,160	1,252,521	10,963,833	1,277,167	71,583,830	5,328,896,809	246,019,559	217,759,753	1,863,673	207,310	26,188,823	(977,444,811)	(26,159)	(3,198,771)	643,754	(866,095)	(1,968,988)	(970,741,045)	4,384,344,587	20,484,720	$ (969,874,949)
3/31/2022	5,439,215,784	1,252,521	10,963,833	1,277,167	71,903,061	5,353,819,202	276,450,711	233,519,564	1,888,084	160,013	40,883,050	(980,239,596)	(26,251)	(3,222,218)	3,378,850	(875,365)	(2,160,375)	(970,576,537)	4,424,125,715	39,781,128	$ (969,701,171)
4/30/2022	5,515,439,342	1,252,521	10,963,833	1,277,167	72,154,298	5,429,791,523	224,746,523	177,789,902	1,910,915	43,034	45,002,672	(982,127,699)	(26,344)	(3,245,665)	2,878,436	(884,656)	(2,352,264)	(972,740,335)	4,502,053,860	77,928,145	$ (971,855,679)
5/31/2022	5,539,040,436	1,252,521	10,963,833	1,277,167	72,225,324	5,453,321,591	239,018,741	179,935,175	1,950,602	22,874	57,110,091	(988,686,854)	(26,436)	(3,269,112)	3,386,006	(893,968)	(2,532,938)	(978,578,394)	4,531,853,287	29,799,427	$ (977,684,426)
6/30/2022	5,564,745,376	1,252,521	10,963,833	1,277,167	72,261,759	5,478,990,095	236,539,127	185,072,033	1,978,790	17,413	49,470,890	(991,016,717)	(26,528)	(3,285,468)	2,331,948	(903,301)	(2,695,589)	(981,773,882)	4,546,687,103	14,833,815	$ (980,870,581)
7/31/2022	5,583,048,453	1,252,521	10,963,833	890,865	72,276,924	5,497,664,310	238,868,998	187,469,184	2,011,535	(12,225)	49,400,504	(994,094,053)	(26,621)	(3,301,825)	2,231,377	(526,353)	(2,869,916)	(985,137,962)	4,561,926,852	15,239,749	$ (984,611,608)
8/31/2022	5,616,056,413	1,252,521	10,963,833	890,865	72,360,706	5,530,588,488	251,077,769	202,903,936	2,085,116	(3,350)	46,092,067	(999,622,297)	(26,713)	(3,318,181)	1,745,907	(525,706)	(3,062,472)	(990,943,317)	4,585,737,238	23,810,387	$ (990,417,611)
9/30/2022	5,647,373,328	1,252,521	10,963,833	890,865	72,371,089	5,561,895,020	255,997,818	120,815,067	2,102,112	3,201	133,077,438	(1,003,613,101)	(26,805)	(3,369,992)	336,311	(525,058)	(3,255,078)	(996,099,858)	4,698,872,600	113,135,362	$ (995,574,799)
10/31/2022	5,751,474,685	1,252,521	10,963,833	890,865	72,378,177	5,665,989,288	190,274,630	129,653,488	2,195,629	15,665	58,409,848	(1,008,099,741)	(26,898)	(3,386,348)	1,233,750	(524,409)	(3,447,692)	(999,480,644)	4,724,918,492	26,045,892	$ (998,956,235)
11/30/2022	5,776,504,128	1,252,521	10,963,833	890,865	72,390,785	5,691,006,123	205,406,881	133,023,787	2,210,015	8,528	70,164,551	(1,013,352,801)	(26,990)	(3,402,705)	2,270,006	(523,759)	(3,640,317)	(1,003,489,024)	4,757,681,650	32,763,158	$ (1,002,965,265)
12/31/2022	5,851,723,892	1,252,521	10,963,833	13,380,993	72,395,972	5,753,730,573	172,370,973	113,598,333	2,233,161	5,955	56,533,524	(1,020,878,378)	(27,082)	(3,433,241)	1,745,610	(596,931)	(3,832,954)	(1,011,242,558)	4,799,021,539	41,339,889	$ (1,010,645,627)
	72,429,428,332	16,282,772	142,529,834	26,775,488	936,324,737	71,307,515,502	3,024,767,814	2,299,741,002	26,127,123	1,243,969	697,655,720	(12,892,836,672)	(344,866)	(42,796,178)	24,814,867	(9,071,234)	(35,185,415)	(12,780,624,112)	59,224,547,110	478,735,146	(12,771,552,878)
						$ 65,797,964,085	$ 2,818,837,003				$ 652,184,121				$ 23,273,599	-			$ 54,653,304,181		$ (11,788,402,148)
				13 month Avg		$ 5,483,163,674	$ 234,903,084				$ 54,348,677				$ 1,939,467				$ 4,554,442,015		$ (982,366,846)

Keyspan Gas East Corporation d/b/a National Grid
Rate Base - Regulatory Assets and Liabilities
For the Historic Test Year Ended December 31, 2022

	GL Account	Description	Avg Bal ($000's) Total	Electric	Gas
1	C1810000	Unamortized Debt Exp	$6,576		$ 6,575.6
2	C1866122	Cost Sharing Agreemt	$6,355		6,354.5
3	U1823078	Rate Case Expense	$6		6.3
4	U1823115	RateCase Exp Current	$215		$215
5	U2540708	Rate Case Exp (G)	($92)		($92)
6	C18230TS	Over Returned Rate Refund - Garbage Tax	$49,600		$49,600
7	Grand Total		$62,660		$62,660

Keyspan Gas East Corporation d/b/a National Grid
Rate Base - Summary of Working Capital
For the Historic Test Year Ended December 31, 2022
($000's)

	Description	Reference	Total	Electric	Gas
1	Cash Allowance	pg. 29 ln 16	$ 31,285	$ -	$ 31,285
2					
3	Material and Supplies in Stock - General	pg. 30 ln 20	8,357	-	8,357
4					
5	Gas Underground Storage	pg. 30 ln 22	88,640	-	88,640
6					
7	Deferred Fuel Costs	pg. 30 ln 24	(9,150)	-	(9,150)
8					
9	Prepayments	pg. 31 ln 16	89,518	-	89,518
10					
11					
12	Total Working Capital		$ 208,649	$ -	$ 208,649

Keyspan Gas East Corporation d/b/a National Grid
Working Capital - Cash Allowance
For the Historic Test Year Ended December 31, 2022
($000's)

	Description	Reference	Total	Electric	Gas
1	Departmental Expense (1)	P&L pg. 4 ln 12	$ 250,281	$ -	$ 250,281
2			100%	0%	100%
3					
4	Remove major non-cash items included Dept expense :				
5	Other		-	-	none
6	Subtotal		-	-	-
7					
8	Add major cash items not included in Dept expense:				
9	Other		-	-	-
10	Subtotal		-	-	-
11					
12	Total Adjustments		-	-	-
13					
14	Adjusted Amounts		250,281	-	250,281
15					
16	Departmental Cash Allowance - 1/8 (45 days)		$ 31,285	$ -	$ 31,285
17					
18	*(1) The Departmental expenses used for cash allowance calculation before adjustments. Bad Debt and CEF/EES are excluded*				
19					

Keyspan Gas East Corporation d/b/a National Grid
Working Capital - Materials & Supplies and Gas Storage
For the Historic Test Year Ended December 31, 2022
($000's)

	Description		Average Balances Total	Electric	Gas
20	Materials & Supplies		$ 8,357		$ 8,357
21					
22	Gas Stored Underground - Current	164000	$ 88,640	$ -	$ 88,640
23					
24	Fuel Costs and Purchased Gas Deferred	1823201 / 1823202	$ (9,150)	$ -	$ (9,150)

Keyspan Gas East Corporation d/b/a National Grid
Working Capital - Prepayments
For the Historic Test Year Ended December 31, 2022
($000's)

	Description	Activities # 165xxx Prepayments and 236xxx Accrued Taxes	Average Balances ($000's) Total	Electric	Gas
1	Dec-21	1/2 month	$ 18,492		$ 18,492
2	Jan-22		$ 27,329		27,329
3	Feb-22		$ 30,723		30,723
4	Mar-22		$ 1,406		1,406
5	Apr-22		$ (19,931)		(19,931)
6	May-22		$ 34,921		34,921
7	Jun-22		$ 146,189		146,189
8	Jul-22		$ 135,595		135,595
9	Aug-22		$ 125,248		125,248
10	Sep-22		$ 126,412		126,412
11	Oct-22		$ 169,871		169,871
12	Nov-22		$ 196,275		196,275
13	Dec-22	1/2 month	$ 81,683		81,683
14		12 mo total	$ 1,074,213	$ -	$ 1,074,213
15			$ -		
16	Total Prepayments avg bal.		$ 89,518	$ -	$ 89,518

Keyspan Gas East Corporation d/b/a National Grid
Tax Deduction for Interest Expense
For the Historic Test Year Ended December 31, 2022
($000's)

		Reference	Total	Electric	Gas
1	Avg Rate Base Per Books	pg. 8 ln 1	$ 3,726,273	$ -	$ 3,726,273
2	Less: Excess Earnings Adj (EBCAP)	pg. 8 ln 31	(186,525)	-	(186,525)
3	Rate Base		3,912,798	-	3,912,798
4					
5	Weighted Cost of LTD Debt	pg. 3 lns 19 & 33		0.00%	2.00%
6	Weighted Cost of Notes payable	pg. 3 lns 20 & 34		0.00%	0.00%
	Weighted Cost of Gas Supplier Ref	pg. 3 lns 21 & 35		0.00%	0.00%
7	Weighted Cost of Cust Deposits	pg. 3 lns 22 & 36		0.00%	0.00%
8	subtotal weighted cost of debt			0.00%	2.00%
9					
10	Income Tax Interest Deduction		$ 78,256	$ -	$ 78,256

Keyspan Gas East Corporation d/b/a National Grid
Federal and State Income Taxes
For the Historic Test Year Ended December 31, 2022
(Whole $)

	Electric Segment			ELECTRIC			ELECTRIC	
	Statutory Tax Rate		21.00%			6.50%		
1		Source	Federal Gross	Federal Tax	Federal %	State Gross	State Tax	State %
2	Net Income Before Federal & State Income Taxes		$ -	$ -		$ -	$ -	
3	Interest		$ -	$ -		$ -	$ -	
4	Total Pretax Income / (Loss)		$ -	$ -	-	$ -	$ -	-
5								
6	New York State Income Taxes / Capital Taxes		$ -	$ -	-		$ -	-
7	Flow-through AFUDC Equity			$ -	-	$ -	$ -	-
8	Flow-through AFUDC Equity Depreciation			$ -	-		$ -	-
9	Flow-through Unamortized Debt			$ -	-		$ -	-
10	Flow-through Bond Redemption			$ -	-	$ -	$ -	-
11	Meals and Entertainment			$ -	-		$ -	-
12	GAIN ON REDEMPTION BONDS			$ -	-		$ -	-
13	Other -2			$ -	-		$ -	-
14	Other - 3			$ -	-		$ -	-
15	Tax Only Item - Rate Change				-			-
16	Tax Only Item - State Year 2000				-			-
17	Tax Only Item - 3				-			-
18	Total Rate Drivers		$ -	$ -	-	$ -	$ -	-
19								
20	Total Taxable Income / Tax / Effective Tax Rate		$ -	$ -	-	$ -	$ -	-
21				Federal Tax	Federal Rate		State Tax	State Rate

	Gas Segment			GAS			GAS	
	Statutory Tax Rate		21.00%			9.43%		
22		Source	Federal Gross	Federal Tax	Federal %	State Gross	State Tax	State %
23	Net Income Before Federal & State Income Taxes		$ 284,501,962	$ 59,745,000		$ 284,501,962	$ 26,829,000	
24	Interest		$ (78,256,000)	$ (16,434,000)		$ (78,256,000)	$ (7,380,000)	
25	Total Pretax Income / (Loss)		$ 206,245,962	$ 43,311,000	21.00%	$ 206,245,962	$ 19,449,000	9.43%
26								
27	New York State Income Taxes / Capital Taxes		$ (19,292,328)	$ (4,051,000)	-9.35%	$ 6,570,441	$ 620,000	3.19%
28	Flow-through AFUDC Equity		$ (4,239,223)	$ (890,000)	-2.05%	$ (4,239,223)	$ (400,000)	-2.06%
29	Flow-through AFUDC Equity Depreciation		$ 330,867	$ 69,000	0.16%	$ 330,867	$ 31,000	0.16%
30	Flow-through Unamortized Debt			$ -	-		$ -	-
31	Flow-through Bond Redemption			$ -	-	$ -	$ -	-
32	Meals and Entertainment		$ 44,740	$ 9,000	0.02%	$ 44,740	$ 4,000	0.02%
33	GAIN ON REDEMPTION BONDS			$ -	-		$ -	-
34	Other -2			$ -	-		$ -	-
35	Other - 3			$ -	-		$ -	-
36	Tax Only Item - Rate Change			$ (5,702,549)	-13.17%		$ (411,672)	-2.12%
37	Tax Only Item - State Year 2000				-			-
38	Tax Only Item - 3				-			-
39	Total Rate Drivers		$ (23,155,944)	$ (10,565,549)	-24.39%	$ 2,706,825	$ (156,672)	-0.81%
40								
41	Total Taxable Income / Tax / Effective Tax Rate		$ 183,090,018	$ 32,745,451	15.88%	$ 208,952,787	$ 19,292,328	9.35%
				Federal Tax	Federal Rate		State Tax	State Rate

Keyspan Gas East Corporation d/b/a National Grid
Accum. Deferred Income Taxes - Rate Base and Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

FEDERAL

		ACCUMULATED DEFERRED FEDERAL INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022						ACCUMULATED DEFERRED FEDERAL INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022					
		ACTUAL *			FAS 109 BALANCES			RATE CASE ADJUSTMENTS			RATE CASE		
		TOTAL	ELEC	GAS	TOTAL	ELEC	GAS	TOTAL	ELEC	GAS	TOTAL	ELEC	GAS
1	Dec-21	($452,885)		($452,885)	($355,245)		($355,245)	($33,049)		($33,049)	($841,179)	$0	($841,179)
2	Jan-22	($461,494)		($461,494)	($355,951)		($355,951)	($35,348)		($35,348)	($852,793)	$0	($852,793)
3	Feb-22	($464,028)		($464,028)	($356,390)		($356,390)	($33,950)		($33,950)	($854,368)	$0	($854,368)
4	Mar-22	($448,623)		($448,623)	($353,988)		($353,988)	($31,714)		($31,714)	($834,325)	$0	($834,325)
5	Apr-22	($448,623)		($448,623)	($767,780)		($353,988)	($49,207)		($49,207)	($851,818)	$0	($851,818)
6	May-22	($473,343)		($473,343)	($767,780)		($354,521)	($46,622)		($46,622)	($874,486)	$0	($874,486)
7	Jun-22	($521,788)		($521,788)	($765,749)		($355,218)	($45,164)		($45,164)	($922,169)	$0	($922,169)
8	Jul-22	($528,796)		($528,796)	($765,749)		($355,308)	($43,530)		($43,530)	($927,633)	$0	($927,633)
9	Aug-22	($532,931)		($532,931)	($765,749)		($355,803)	($44,941)		($44,941)	($933,674)	$0	($933,674)
10	Sep-22	($548,303)		($548,303)	($763,014)		($353,380)	($38,678)		($38,678)	($940,360)	$0	($940,360)
11	Oct-22	($564,303)		($564,303)	($763,014)		($353,975)	($38,338)		($38,338)	($956,616)	$0	($956,616)
12	Nov-22	($561,580)		($561,580)	($763,014)		($354,689)	($37,766)		($37,766)	($954,035)	$0	($954,035)
13	Dec-22	($564,659)		($564,659)	($768,333)		($351,905)	($38,228)		($38,228)	($954,793)	$0	($954,793)
14													
15	Total (Dec @ 1/2)	($6,062,584)	$0	($6,062,584)	($4,256,784)	$0	($4,256,784)	($480,895)	$0	($480,895)	($10,800,264)	$0	($10,800,264)
16													
17	12 pt Avg	($505,215)	$0	($505,215)	($354,732)	$0	($354,732)	($40,075)	$0	($40,075)	($900,022)	$0	($900,022)
18													
19													
20		* Includes FAS 109 DFIT balances.											

		ACCUMULATED DEFERRED STATE INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022						ACCUMULATED DEFERRED STATE INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022					
21	STATE												
22													
23													
24													
25													
26		ACTUAL *			FAS 109 BALANCES			RATE CASE ADJUSTMENTS			RATE CASE		
27		TOTAL	ELEC	GAS	TOTAL	ELEC	GAS	TOTAL	ELEC	GAS	TOTAL	ELEC	GAS
28	Dec-21	($152,782)		($152,782)	$0		$0	($16,368)		($16,368)	($169,150)	$0	($169,150)
29	Jan-22	($157,982)		($157,982)	$0		$0	($17,508)		($17,508)	($175,490)	$0	($175,490)
30	Feb-22	($161,479)		($161,479)	$0		$0	($16,810)		($16,810)	($178,289)	$0	($178,289)
31	Mar-22	($162,515)		($162,515)	$0		$0	($15,724)		($15,724)	($178,239)	$0	($178,239)
32	Apr-22	($162,515)		($162,515)	$0		$0	($21,628)		($21,628)	($184,143)	$0	($184,143)
33	May-22	($166,683)		($166,683)	$0		$0	($20,491)		($20,491)	($187,174)	$0	($187,174)
34	Jun-22	($195,364)		($195,364)	$0		$0	($19,850)		($19,850)	($215,214)	$0	($215,214)
35	Jul-22	($196,067)		($196,067)	$0		$0	($19,132)		($19,132)	($215,199)	$0	($215,199)
36	Aug-22	($199,934)		($199,934)	$0		$0	($19,753)		($19,753)	($219,686)	$0	($219,686)
37	Sep-22	($200,732)		($200,732)	$0		$0	($17,000)		($17,000)	($217,731)	$0	($217,731)
38	Oct-22	($208,832)		($208,832)	$0		$0	($16,850)		($16,850)	($225,682)	$0	($225,682)
39	Nov-22	($214,410)		($214,410)	$0		$0	($16,599)		($16,599)	($231,009)	$0	($231,009)
40	Dec-22	($208,717)		($208,717)	$0		$0	($16,802)		($16,802)	($225,519)	$0	($225,519)
41													
42	Total (Dec @ 1/2)	($2,207,261)	$0	($2,207,261)	$0	$0	$0	($217,929)	$0	($217,929)	($2,425,190)	$0	($2,425,190)
43													
44	12 pt Avg	($183,938)	$0	($183,938)	$0	$0	$0	($18,161)	$0	($18,161)	($202,099)	$0	($202,099)
45													
46		* Includes FAS 109 DFIT balances.											

Exhibit_____(RRP-4R)

Rebuttal

Relevant Portions of Company IR Responses

Date of Request: May 30, 2023 Request No. DPS-357
Due Date: June 9, 2023 NG Request No. NG-367

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: John Castano

TO: National Grid

SUBJECT: Software

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. For KEDLI, provide a breakdown of Software expense, by month, Vendor, and Cost Type, with the associated dollar amounts by year, for each Calendar Year 2018, 2019, 2020, 2021, and 2022.

2. For KEDLI, provide a listing of invoices by Vendor, Date, Cost Type, Company (e.g., KEDNY, KEDLI, NIMO, Service Company), and Cost Center, supporting the Historic Test Year amount. Explain why a majority of the KEDNY's Software expenses originate with the Service Company, and are ultimately allocated to KEDNY.

3. For KEDLI, with reference to the adjustment "Historic Test Year Review," as presented on Exhibit___(RRP-3), Schedule 6, p. 4:

   a. Explain what the adjustments represent.

   b. Explain how the Company derived and/or identified this amount. Provide all supporting documentation, calculations, and rationales.

4. For KEDLI, with reference to the adjustment "Additional Review of Historic Test Year Costs," as presented on Exhibit___(RRP-3), Schedule 6, p. 4:

   a. Explain what the adjustments represent.

   b. Explain how the Company derived and/or identified this amount. Provide all supporting documentation, calculations, and rationales.

Response:

1. Please see Attachment 1 for a breakdown of Software expense for calendar years 2018 to 2022. Calendar Year 2022 ("HTY") contains the unadjusted test year amounts prior to any normalization adjustments. Please note that there is no additional breakdown of Software costs by "Cost Type" because Software is the lowest level of cost type.

2. Please see Attachment 2 for the list of invoices included in the HTY amount. Software costs typically originate within the Service Company as the software benefits more than one operating company. As with all Service Company costs, each operating company receives a pro rata share of the total Software costs based on an underlying allocation code designed to properly align the costs with the benefits received.

3. a. The Historic Test Year Review adjustment made for Software include: (i) vendor costs that were reviewed and found to have been recorded and allocated incorrectly, and (ii) incorrect CAPEX to OPEX classification where, after reviewing, the Company found that the capital work being performed by the vendor(s) should be reclassified as CAPEX. Additional details around how the Company performed the Historic Test Year Review can be found within the Direct Testimony of the Revenue Requirements Panel under Section III "Historic Test Year Cost Review and Trend Analysis."

   b. RRP-2, Schedule 3 will show the total Software expense amount that was used for the HTY review adjustment seen in Exhibit___(RRP-3), Schedule 6, p. 4. Please see Attachment 3 for additional supporting details regarding the adjustment made to Software expense.

4. a. The adjustment represents a normalization of HTY costs based on an additional examination of vendor charges booked to Software.

   b. The Company reviewed HTY costs by vendor and removed certain costs consistent with past precedent. Additional details around how the Company performed the Additional Historic Test Year Review can be found within the Direct Testimony of the Revenue Requirements Panel, Section III "Historic Test Year Cost Review and Trend Analysis." Please refer to Exhibit___(RRP-2), Schedule 1 and Attachment 4 for additional supporting details regarding the adjustment.

Name of Respondent:
Christophe Chirol

Date of Reply:
June 6, 2023

Date of Request: June 7, 2023 Request No. DPS-429
Due Date: June 19, 2023 NG Request No. NG-457

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Anthony DiGiacomo

TO: National Grid

SUBJECT: Hardware

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel, or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. For KEDLI, provide a breakdown of Hardware expense by month, vendor, and cost type, with the associated dollar amounts by year, for each Calendar Year, 2018, 2019, 2020, 2021, Historic Test Year 2022, and Historic Test Year 2022 (Normalized).

2. For KEDLI, provide a listing of Hardware invoices by Vendor, Date, Cost Type, Company (e.g., KEDNY, KEDLI, NIMO, Service Company), and Cost Center, supporting the Historic Test Year amount of $0.51M.

Response:

1. Please see Attachment 1 for a breakdown of Hardware expense for each calendar year as requested. Note that for Historic Test Year ("HTY") 2022 there were no normalization adjustments required. The Company further notes that there is no additional breakdown of Hardware costs by "Cost Type" because Hardware is the lowest level of cost type.

2. Please see Attachment 2 for the listing of invoices included in the HTY amount.

Name of Respondent: Date of Reply:
Christophe Chirol June 16, 2023

Date of Request: July 13, 2023 Request No. DPS-669
Due Date: July 24, 2023 NG Request No. NG-826

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case No. 23-G-0225/0226 Data Requests

Request for Information

FROM: John Castano

TO: National Grid

SUBJECT: Other Initiatives - IT

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Per discussion with the Companies, it has been identified that the Historic Test Year amount for the Energy Efficiency (Clean Energy 2.0 & Green Button Connect) as presented in Exhibit___(ITDP-6CU) and Exhibit___(ITDP-7CU) is incorrect. Accordingly, the Companies' Other Initiatives: IT, line is overstated. Provide the following:

   a. The amount that should properly be reflected in the Historic Test Year for the Energy Efficiency (Clean Energy 2.0 & Green Button Connect).

   b. The amount of the adjustment to be reflected in the Other Initiatives: IT, line item for each KEDNY and KEDLI as a result of reflecting the correct the amount provided in 1a above.

Response:

1. a. As indicated in discussions with Staff, the Company noted that there was an error made in Exhibit___(ITDP-6CU) and Exhibit___(ITDP-7CU) for the Historic Test Year actuals for Clean Energy 2.0 operating expense costs. In its Corrections and Updates filing, the Companies inadvertently indicated that Clean Energy 2.0 operating expense costs were $1.5 million. This has been corrected to reflect the correct amount of $3.1 million.

b. Please see Attachment 1 (an updated Exhibit___(ITDP-7CU) tab) for the calculation of the reduction to the Rate Year and Date Years for both KEDNY and KEDLI resulting from this adjustment.

Name of Respondent:	Date of Reply:
Christophe Chirol	July 24, 2023

Date of Request: July 21, 2023 Request No. DPS-823
Due Date: July 31, 2023 NG Request No. NG-1021

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Anthony DiGiacomo

TO: National Grid

SUBJECT: Property Taxes

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to KEDNY's response to DPS-318 Question 2, provide a supplemental response that includes Fiscal Year 2023 (i.e., April 1, 2022 through March 31, 2023) in the calculations.

Response:

Please see Attachment 1 for the list of KEDNY's property taxes with the effect of obsolescence removed, including a workpaper showing the calculations, which has been updated to now include fiscal years 2023.

Name of Respondent: Date of Reply:
Paula Leaverton July 28, 2023

Date of Request: July 21, 2023 Request No. DPS-866
Due Date: July 31, 2023 NG Request No. NG-1073

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Sara Orsino

TO: National Grid

SUBJECT: KEDNY /KEDLI Operator Qualification Program Pipeline Safety ITS System

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to KEDNY's response to DPS-593 Attachment 4 and Exhibit___(RRP-3), OM Sch 42 Other Initiatives - GIOP&GSP NY23

1. Identify what the capital expenditure/operating expense split is for the Operator Qualifications Program - Pipeline Safety - Industrial Training Services (ITS) System line item.

2. Confirm if the amounts shown in DPS-593 Attachment 4 cells E8 through H8 are supposed to be the same amounts as found in RRP-3 OM Sch 42 Other Initiatives - GIOP&GSP NY23 cells I33 through L33. If yes, explain why DPS-593 Attachment 4 cell E2 shows a capital expenditure and operation and maintenance expense split of 45% capital expenditure and 55% operation and maintenance expense.

3. Explain why the Operator Qualifications Program - Pipeline Safety - Industrial Training Services (ITS) System line item is allocated evenly between KEDNY/KEDLI.

4. How many inhouse employees does KEDNY and KEDLI have that would require the ITS database fee?

    a. Provide a separate amount for each company.

    b. Provide the workpapers (quotes, contracts, bids, license fee) that support the $33 database fee.

5. How many contractors does KEDNY and KEDLI have that would require the ITS license cost?

a. Provide a separate amount for each company.

b. Provide the workpapers (quotes, contracts, bids, license fee) that support the $45 license cost to access contractor series.

6. In the Companies' response to DPS-593 Attachment 4 cell b4, explain what is being represented by '8 hrs per week * 52 weeks * $200.

a. Explain what work will be done.

b. Explain why this cost is capitalized.

c. Explain why this cost is allocated evenly between KEDNY and KEDLI.

d. Provide the workpapers (quotes, contracts, bids, license fee) that support the $200/hr cost.

Response:

1. The capital expenditure/operating expense split for the Operator Qualifications Program - Pipeline Safety - Industrial Training Services ("ITS") System line item is 45 percent Capex, 55 percent Opex.

2. The amounts originally appearing in the Company's response to DPS-593 should not have been the same as what appeared in Exhibit ___ (RRP-3), OM Sch 42 Other Initiatives - GIOP&GSP NY23, cells I33 through L33. The operations and maintenance ("O&M") split was inadvertently calculated using 50 percent as opposed to 55 percent. Therefore, the total in RRP-3 OM Sch 42 should have been 5 percent higher.

3. Both KEDNY and KEDLI utilize ITS as the Operator Qualifications database and for verification of qualifications in the field. A single contract is signed with ITS, hence the cost was evenly distributed between the two Companies. Moreover, there is crossover between jurisdictions for contractors and it is difficult to allocate charges to one specific Company.

4. The number of in-house employees that require the ITS database licensing fee is 1,353 employees for KEDNY and 841 employees for KEDLI.

a. There is not a separate contract for each Company. The lump sum contract with ITS is $345,000 for FY 2024 and included KEDNY and KEDLI, Niagara Mohawk, and the National Grid New England gas companies. If the lump sum contract were to be divided by the number of total users for all Companies, the licensing fee per user would equate to ~$74 per user ($345,0000/4,681).

Please Note: The original breakdown in DPS-589 listed the database fees as $33; however, the ITS database fee is $74. In addition, the total number of users listed

in the calculation erroneously included all NY users, which incorrectly included Upstate New York users. The calculations in Attachment 1 have been updated to only consider KEDNY and KEDLI users.

KEDNY: ($74 x 1,353) x 0.45 Capex = $45,055
KEDLI: ($74 x 841) x 0.45 Capex) = $28,005
Total: ($74 x 2,194) x .45 Capex = $73,060

b. Please see Attachment 2 (Confidential). Attachment 2 is confidential and should be protected from disclosure pursuant to the terms of the Protective Order adopted in these proceedings.

5. The number of contractor employees that require the ITS database licensing fee is 5,104 employees for KEDNY and 2,001 employees for KEDLI, as well as an additional 435 contractor resources that support both Companies, for a total of 7,540 contractor resources. Contractor employees can cross between jurisdictions depending on workload requirements.

Please Note: The original estimate in the Companies' response to DPS-589 included all contractor resources. The calculations in Attachment 1 have been updated to only consider KEDNY and KEDLI contractors.

a. The amounts for KEDNY and KEDLI are estimated below:

KEDNY: ($45 x 5,104) x 0.45 Capex = $103,356
KEDLI: ($45 x 2,001) x 0.45 Capex = $ 40,520
Support Both Region: ($45 x 435) x 0.45 Capex = $8,809
Total: ($45 x 7,540) x .45 Capex = $152,685

b. There is no separate contract for each Company. Please see Attachment 2 (Confidential), Optional Add-ons on page 3 "Contractor Access to National Grid Internal OQ and Training Series" providing for $40 per Student and $175 per Admin -- a weighted average cost of $45 has been used to take into account both line items.

6. This line item represents cost associated with the creation and revision of Written Exams ("Wes") and creation of new Performance Evaluations ("Pes")

a. The new WEs and PEs will be created for new Covered tasks. In-depth review of WEs and PEs is currently being conducted. The existing WEs and PEs will be revised based on the recommendations from the review committee.

b. The cost is split 45 percent Capex and 55 percent Opex.

c. These costs are capitalized because the qualification process is for employees that perform both capex and opex work. The 45 percent Capex and 55 percent Opex splits are based on historical capex/opex splits.

d. The WEs and PEs are the same for both regions, so the cost is split evenly.

e. Please see Attachment 2 (Confidential) page 4 (Custom Series Content Management and Custom System/Integration Development)

In addition to the items noted above, while preparing the response the Companies discovered additional errors in the calculations, specifically shown in Attachment 1, highlighted in yellow. The Companies inadvertently failed to reflect the costs associated with ITS Add on Services – Speech to text, Psychometric Test Analysis, System Improvements in the amount of $132,075, and the New York user database fee in the amount of $40,037.

Regarding the Add on Services – Speech to text, Psychometric Test Analysis, and System Improvements, the Company is in the process of adding improvements/functionalities to the existing ITS system. The improvements/ functionalities included the following:

- Text to Speech is in the process of implementation. $12,500 (CAPEX $5,625) annually is attributed to this function. See Attachment 3 (Confidential). Attachment 3 is confidential and should be protected from disclosure pursuant to the terms of the Protective Order adopted in these proceedings.

- Psychometric Test Analysis – This will involve review of the written exams. $5,800 is for the review of 2 tests. This cost has been extrapolated to include all tests. ($5,800 x 45 (total 90 tests)=$261,000 x 0.45 CAPEX)=$117,450. See Attachment 4 (Confidential). Attachment 4 is confidential and should be protected from disclosure pursuant to the terms of the Protective Order adopted in these proceedings.

- Improvements in Pipeline – Onboard Verify and Onboard Live. There is currently no statement of work, however, a cost of $20,000 ($9,000 CAPEX) is assumed based on the cost of text to speech functionality and a rough approximation of one and a half times the cost.

Regarding the NY user database fee, this fee is in addition to the ITS database fee and was inadvertently omitted from the previous estimate. The Northeast Gas Association (NGA) charges OQ Database Annual Fees ($34 per User) for all the users. The fee has been calculated as such ($34 * 2,194 inhouse employees = $74,596 + $14,375 *45% ($40,037 CAPEX)) for the Gas Technologies Institute (GTI) Membership License Fee. See Attachment 5 (Confidential). Attachment 5 contains confidential information and should be protected from disclosure in accordance with the Protective Order adopted in these proceedings.

Attachment 1 also outlines the changes between the original filing and the updated forecast to be reflected in the Companies' revenue requirements. In addition to the capital updates Attachment 1 also indicates the O&M adjustment to be made in RRP-3 OM Sch 42 Other Initiatives - GIOP&GSP.

Name of Respondent:	Date of Reply:
Pragati Singh	July 31, 2023

Date of Request: August 8, 2023 Request No. DPS-983
Due Date: August 18, 2023 NG Request No. NG-1332

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: John Castano

TO: National Grid

SUBJECT: Earnings Base Capitalization (EBCAP)

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Referring to the Companies' Supplemental response to DPS-374, the Companies' provided a list of balance sheet accounts supporting its Corrections and Updates filing EBCAP adjustment for KEDNY and KEDLI. In the Companies response to DPS-926, the Companies state that "[t]he asset and liability accounts associated with the accounting for Asset Retirement Obligations are netted together for the purpose of treating any residual net balance as a capital adjustment. While these are non-cash transactions, any offsetting difference between the net asset and liability balances has been reflected in the Company's income statement and has impacted capitalization through its adjustment to Retained Earnings. As such, it is appropriate to adjust capitalization for the noncash impact these transactions have had on Retained Earnings by increasing the capitalization dedicated to public service for any net liability balance in excess of assets and conversely decreasing the capitalization dedicated to public service for any net asset balance in excess of liabilities." For each KEDNY and KEDLI:

   a. Identify all accounts associated with non-cash transactions, where any offsetting difference between the net asset and liability balances has been reflected in the Company's income statement and has impacted capitalization through its adjustment to retained earnings, within the Companies' Supplemental response to DPS-374 where any net balance resulted in a capitalization adjustment.

Response:

1. a. See Attachment 1 for KEDLI and Attachment 2 for KEDNY for the schedules provided in the Supplemental response to DPS-374 with additional columns identifying the specific accounts associated with non-cash transactions that have

been classified as Cap Adjustments. In addition, each attachment contains a summary schedule that summarizes these non-cash cap adjustments by "non-cash" category. As noted in the attachments, there were additional non-cash accounts associated with the accounting for Capital Leases that were not appropriately identified as Cap Adjustments in the calculation of the EBCAP adjustment in the C&U filing. Inclusion of these accounts as Cap Adjustments in the EBCAP calculation results in the following required adjustments presented in the table below.

Impact Summary of Required Adjustments:

(In millions)	**KEDLI**	**KEDNY**
EBCAP Adjustment per C&U Filing	187,442	212,241
Adjustment for Capital Leases	(917)	(24,186)
Revised EBCAP Adjustment	**186,525**	**188,054**
Rate Base per C&U Filing	3,913,499	6,097,818
Adjustment for Capital Leases	(917)	(24,186)
Revised Rate Base	**3,912,582**	**6,073,632**

Name of Respondent:
John O'Shaughnessy

Date of Reply:
August 18, 2023

Date of Request: July 25, 2023 Request No. NRDC-036
Due Date: August 4, 2023 NG Request No. NG-1138

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Chris Casey

TO: National Grid

SUBJECT: CLCPA

Request:

On page 36 of the Climate Leadership and Community Protection Act Panel Testimony, lines 14-18, the Company states they were required by the outcome of the 2019 KEDNY and KEDLI Rate Cases to "complete a CLCPA Study to 'analyze[] the scale, timing, costs, and customer bill impacts of achieving significant, quantifiable reductions in carbon emissions from the use of gas delivered by the Companies.'"

a. Did the Clean Energy Vision fulfill the requirement for the development of a CLCPA study? If so, why did the Companies go about a second study? If not, please explain why the Clean Energy Vision did not satisfy the requirements of the 2019 KEDNY and KEDLI Rate Cases.

b. What was the timeline for the development of the CLCPA Study? Please provide all supporting documentation and relevant communications in a searchable format.

c. What was the process for developing the CLCPA Study? Please identify and describe the roles of the teams and individuals who drafted and approved the CLCPA Study, and provide communications relevant to the conceptualization and development of the Study in a searchable format.

d. What instructions or guidance did consultants receive as they developed the Study? Please provide all relevant communications in a searchable format.

e. Did external parties other than Guidehouse employees provide input on the conceptualization or development of the CLCPA Study? If so, please provide all relevant communications in a searchable format.

f. What were the costs associated with the development and promotion of the CLCPA Study? Please provide an itemized breakdown with supporting documentation such as invoices.

Response:

a. The Joint Proposal approved by the Commission August 12, 2021, in Cases 19-G-0309 and 19-G-0310 required the Companies to "complete a study evaluating how their businesses may evolve to support the emission reduction and renewable energy goals of the CLCPA and Local Law 97 (the CLCPA Study)" by the end of Rate Year 3 (March 31, 2023).[1] The CLCPA Study focused on analysis at the operating company level required a different scope and level of specificity than reflected in the Clean Energy Vision analysis, which was developed to provide a high-level overview of National Grid's vision to achieve net zero GHG emissions by 2050 and fully eliminate the use of fossil fuels for the provision of heat to customers in New York and Massachusetts.

b. The Companies object to this information request to the extent that it requests "all supporting documentation and relevant communication" as it is impermissibly vague, overbroad, and unduly burdensome. Notwithstanding this objection, the Companies provide the following summary of key timeline milestones. The Companies issued a formal Request for Proposal ("RFP") for support in preparing the Study in April 2022. Based on results of the RFP, the Companies selected Guidehouse to complete the Study, and commenced work in June 2022. The Companies held the first of four public stakeholder meetings on July 13, 2022 to present a draft scoping plan for the CLCPA Study and receive stakeholder feedback. The second stakeholder meeting was held August 9, 2022, on Modeling Inputs and Assumptions. The third stakeholder meeting was held November 28, 2022, on Modeling Outputs. The fourth and final stakeholder meeting was held January 9, 2023, to discuss stakeholder feedback on the Draft Report. The Companies filed the CLCPA Study with the Commission on March 17, 2023. Stakeholders (including NRDC) participated in the study development process via the public stakeholder process, providing input on study scope, assumptions, modeling results, and the draft report.

c. Please see the response to question b, above.

d. The Companies object to this information request to the extent that it requests "all relevant communications" as it is impermissibly vague, overbroad, and unduly burdensome. Notwithstanding this objection, the Companies respond that the primary guidance for informing the consultant's workplan was reflected in the RFP described in response to question b, above.

e. The Companies object to this information request to the extent that it requests "all relevant communications" as it is impermissibly vague, overbroad, and unduly burdensome. Notwithstanding this objection, the Companies respond that input on the CLCPA Study was provided by external parties as part of the public stakeholder process described in response to question b, above.

[1] Cases 19-G-0309 and 19-G-0310, *Order Approving Joint Proposal, As Modified and Imposing Additional Requirements*, p. 173.

f. The total amount paid to Guidehouse for the Study (which benefitted National Grid's upstate and downstate gas operating companies) was $1,073,564.25. Per the terms of the Joint Proposal and Order in Cases 19-G-0309 and 19-G-0310, the Companies are permitted to defer 50 percent of the third-party costs to conduct the CLCPA Study, up to $500,000 for National Grid's New York gas utilities in the aggregate.

Note in preparing the response to this question the Company discovered it mistakenly included the Guidehouse costs for KEDNY and KEDLI in the revenue requirements. The amounts to be adjusted out of the Historic Yest Year, Rate Year, and Data Years are as follows:

	KEDNY	KEDLI
HTY	$456,940	$259,204
RY	$487,034	$276,275
DY1	$496,460	$281,622
DY2	$505,526	$286,765
DY3	$514,542	$291,879

Name of Respondent:
Meghan McGuinness

Date of Reply:
August 4, 2023

Date of Request: July 26, 2023 Request No. WE ACT- 091
Due Date: August 7, 2023 NG Request No. NG-1152

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Maiyo Saji

TO: National Grid

SUBJECT: General Provisions

Request:

In response to DPS-005, the Company provided an org chart with job titles. On page 816 of the attachment, the Company stated Bryan Grimaldi is the VP of Corporate Affairs in New York and identified his nine direct reports.

a. Please explain how Bryan Grimaldi and his nine direct reports track their time spent on below-the-line activities.

b. Please describe in detail the system that employees on the Corporate Affairs Team of New York use to track time spent on below-the-line activities.

c. Please state which salaries of the Corporate Affairs Team of New York are included in the revenue requirement?

d. If the full salary is not recovered through the revenue requirement, please explain why.

Response:

a. National Grid uses the SAP time entry system to capture daily time. If an employee on the Corporate Affairs team were to engage in a below the line work activity, the employee would charge their time to a below the line time entry code.

b. Please see the response to part a, above.

c. The full salaries of the Corporate Affairs team are included in the revenue requirements, except for that portion of salaries associated with below the line work activity.

In preparing this response, the Companies discovered that a journal entry had been made to reclassify data for reporting purposes. That journal entry requires an adjustment to remove lobbying costs that were inadvertently included in the revenue requirement. The Company will reflect the adjustment in its rebuttal filing.

d. Please see the response to part c, above.

Name of Respondent:
Bryan Grimaldi

Date of Reply:
August 7, 2023